

FACULTY OF LAW

LUND UNIVERSITY

Wictoria Wennberg

Responsible Ship Recycling and Corporate Responsibility:
Regulatory Aspects and Legal Challenges

JURM02 Graduate thesis

Graduate thesis, Master of Laws program

30 higher education credits

Supervisor: Olena Bokareva

Semester: VT25

Table of contents

SUMMARY **3**

SAMMANFATTNING **4**

ACKNOWLEDGEMENT **5**

ABBREVIATIONS **6**

1 INTRODUCTION **7**

1.1 Background 7
1.2 Research Questions and Purpose 9
1.3 Method and Material 10
1.4 Delimitations 11
1.5 Outline 12

2 CONTEXT AND CHALLENGES OF SHIP RECYCLING **14**

2.1 Flag State Jurisdiction and the Legal Classification of Vessels 14
2.2 Duties and Responsibilities of the Flag State 16
2.3 Port State Control 17
2.4 Different Types of Circumventions of the Legislation 19
2.4.1 Flag of Convenience (FoC) and Open Registries *19*
2.4.2 "Cash Buyers" and Intermediaries *21*

3 INTERNATIONAL AND EU REGULATORY FRAMEWORKS FOR SHIP RECYCLING **23**

3.1 International Conventions and Principles 23
3.1.1 Basel Convention: Scope and Application *23*
3.1.2 The Hong Kong Convention: Scope and Application *26*
3.2 EU Legal Regime 29
3.2.1. EU Waste Shipment Regulation *29*
3.2.2. EU Ship Recycling Regulation *31*
3.3 Conclusion of the frameworks 35

4 LEGAL MECHANISMS FOR CORPORATE RESPONSIBILITY AND LIABILITY IN SHIP RECYCLING **36**

4.1 Corporate Responsibility in Ship Recycling 36
4.2 Civil Liability and Enforcement Mechanisms 37
4.2.1 Gaps in Existing Civil Liability Frameworks *37*
4.2.2 Comparative Analysis of Civil Liability *41*
4.3 Criminal Liability and Enforcement Challenges 42
4.3.1 EU Environmental Crime Directive and Gaps in Existing Criminal Frameworks *42*
4.3.2 Comparative Analysis of Criminal Liability *45*
4.4 Summary and Analysis of Corporate Liability in Case Law 46

5 ANALYSIS AND CONCLUSIONS **48**

TABLE OF CASES **51**

TABLE OF LEGISLATION **52**

BIBLIOGRAPHY **54**

Summary

This thesis investigates the extent to which international and EU legal frameworks establish and enforce corporate responsibility in the context of ship recycling. Despite the existence of binding instruments such as the Basel Convention, the Hong Kong Convention (HKC), the EU Ship Recycling Regulation (EU SRR) and the Waste Shipment Regulation (EU WSR), substantial volumes of end-of-life vessels continue to be dismantled under hazardous conditions, particularly in South Asia. The study applies a legal dogmatic method to critically examine legal obligations imposed on corporate actors, with a focus on enforcement gaps and circumvention strategies such as reflagging and the use of intermediaries like “cash buyers”.

By examining both hard and soft law instruments and engaging with case law such as *Begum v. Maran, Eide Carrier* and *Seatrade*, the thesis assesses how legal tools operate in practice and explores to what extent national courts may fill regulatory gaps. It further considers the evolving legal landscape in the EU, including the potential impact of the Corporate Sustainability Due Diligence Directive (CSDDD) and the Environmental Crime Directive (ECD).

The thesis contributes to the scholarly discourse by addressing a previously underexplored aspect of ship recycling: the role of private actors and the limits of their legal liability. It concludes that while existing frameworks contain valuable mechanisms, they remain insufficient unless complemented by robust enforcement and targeted regulatory reform. Future research is recommended in comparative corporate liability, supply chain governance and the interaction between international law and private corporate conduct.

Sammanfattning

Denna uppsats undersöker i vilken utsträckning internationell och EU-rättslig reglering fastställer och möjliggör ett effektivt företagsansvar inom skeppsåtervinningssektorn. Trots att rättsliga instrument såsom Baselkonventionen, Hongkongkonventionen (HKC), EU:s skeppsåtervinningsförordning (EU SRR) och avfallsförordning (EU WSR) existerar, sker en stor andel fartygsåtervinning fortsatt under farliga och miljöskadliga förhållanden, särskilt i Sydasien. Uppsatsen tillämpar en rättsdogmatisk metod och analyserar rättsliga skyldigheter som riktas mot privata aktörer, med särskilt fokus på bristande efterlevnad och kringgående strategier såsom reflagging och användning av tredje parter (s.k. cash buyers).

Genom att kombinera analys av bindande regelverk, mjuka rättskällor och rättspraxis, exempelvis *Begum v. Maran, Eide Carrier* och *Seatrade*, belyser uppsatsen hur rättsliga mekanismer fungerar i praktiken och i vilken utsträckning nationella domstolar kan fylla internationella rättsliga vakuum. Vidare behandlas hur nya EU-initiativ, såsom direktivet om tillbörlig aktsamhet för företag i fråga om hållbarhet (CSDDD) och direktiv om miljöbrott (ECD), kan påverka företagsansvaret i framtiden.

Uppsatsen bidrar till rättsvetenskapen genom att fokusera på en delvis förbisedd aspekt av skeppsåtervinning, företagens rättsliga ansvar. Slutsatsen är att det finns relevanta mekanismer i dagens regelverk, men att dessa behöver förstärkas med effektivare tillsyn och ytterligare rättsutveckling. För framtida forskning rekommenderas jämförande studier kring företagsansvar, leverantörskedjor och förhållandet mellan internationell rätt och privat aktörsansvar.

Acknowledgement

Jag vill rikta ett stort tack till min handledare Olena Bokareva för hennes ovärderliga stöd, kloka vägledning och konstruktiva återkoppling under arbetets gång. Hennes engagemang och expertis har varit ovärderlig för detta att detta examensarbete kunnat ta form.

Jag vill också rikta ett innerligt tack till min familj och mina vänner. Tack för att ni har lyssnat, peppat, stått ut och fått mig skratta när det behövts som mest. Utan er hade det här varit betydligt svårare och mycket tråkigare.

Abbreviations

CSDDD	Corporate Sustainability Due Diligence Directive
ECD	Environmental Crime Directive
EU	European Union
EU SRR	European Union Ship Recycling Regulation
EU WSR	European Union Waste Shipment Regulation
FoC	Flag of Convenience
HKC	Hong Kong Convention
IMO	International Maritime Organization
ILO	International Labour Organisation
ITLOS	International Tribunal for the Law of the Sea
NGO	Non-Governmental Organisation
OECD	Organisation for Economic Co-operation and Development
Paris MoU	Paris Memorandum of Understanding
UN	United Nations
UNCLOS	The United Nations Convention on the Law of the Sea of 1982

1 Introduction

1.1Background

The global shipping industry plays a vital role in supporting international trade and economic development. Each year, the vast quantities of essential resources are transported by sea, including 2 billion tonnes of crude oil, 1 billion tonnes of iron ore[1], and hundreds of millions of tonnes of agricultural products such as grain. The sheer scale of this movement would not be feasible using road, rail, or air transport alone.[2] Shipping enables industrial production, urban expansion and the movement of populations. It allows raw materials to be transformed into finished goods, thereby stimulating economic growth and increasing access to global markets.[3]

In addition to raw materials, a wide range of goods, including chemicals, refined fuels, and manufactured products, are transported through highly efficient logistic shipping networks. These just-in-time systems ensure that goods arrive precisely when needed. For instance, avocados harvested in Chile are shipped under controlled conditions to reach European markets at peak ripeness, highlighting the efficiency and coordination of maritime logistics.[4]

However, this global efficiency comes at a cost. One of the most pressing concerns within the shipping sector arises at the end of a vessel's operational life. The dismantling and recycling of vessels, also commonly referred to as shipbreaking, presents a complex duality. On one hand, the industry provides income and access to reusable materials for local economies, particularly in South Asia. On the other hand, the process is often carried out under dangerous and environmentally harmful conditions, posing severe risks to human health and ecosystems.[5]

Low labor costs, high demand for salvaged materials and weak enforcement of environmental regulations have created conditions in which the trade in end-of-life vessels remains profitable despite its hazards.[6] While the work itself is dangerous, shipbreaking yards are also known for their extensive reuse of materials. Items discarded in Western economies are frequently repaired, resold or repurposed in ways rarely seen elsewhere.[7] On average, around 1,000 large ships are dismantled each year, a number that fluctuates

[1] *Iron ore*: an essential component for steel production.

[2] International Chamber of Shipping, *World Seaborne Trade*, http://www.ics-shipping.org/shipping-facts/shipping-andworld-trade/world-seaborne-trade (accessed 3 March 2025).

[3] *Ibid*.

[4] *Ibid*.

[5] M., Galley, *Shipbreaking: Hazards and Liabilities*, (Springer 2014), pp. 21-23.

[6] *Ibid.*, pp. 25-26.

[7] *Ibid.*, p. 11.

with global steel demand and economic conditions. Some vessels are dismantled earlier than planned if market conditions make it profitable.[8]

This tension between economic necessity and environmental harm has led to efforts to regulate the dismantling of vessels. The first major step was the 1989 Basel Convention[9], which sought to control the transboundary movement of hazardous waste. Although the Convention applies in theory to end-of-life ships, its practical impact on the industry has been limited. It was not originally designed with ships in mind, leading to legal uncertainty, enforcement challenges and a variety of international issues.[10] As some notable commentators observed, these gaps have hindered effectiveness in minimising unsafe dismantling practices.

In response to the need for a more targeted approach, the adoption of the Hong Kong Convention (HKC) was in 2009[11]. Which aimed at ensuring the safe and environmentally responsible dismantling of vessels.[12] It was developed through a collaborative effort involving the International Maritime Organization (IMO), the International Labour Organization (ILO) and the Basel Convention's Conference of the Parties.[13] It serves as a regulatory framework that builds upon previous initiatives to improve oversight in ship recycling.[14] While the convention has yet to enter into force, it has laid the foundation for the European Ship Recycling Regulation (EU SRR) (Regulation 1257/2013)[15], which aligns with Hong Kong Convention's objectives.[16] The EU Ship Recycling Regulation represents a European legislative effort to facilitate the implementation of Hong Kong Convention by incorporating its principles into EU law.[17] Additionally, the regulation imposes stricter requirements were permitted under Article 1(2) of the convention.[18]

---

[8] K., Gourdon, *Ship recycling: An overview*, OECD Science, Technology and Industry Policy Papers, No. 68 (OECD Publishing, Paris, 2019), pp. 11-12.

[9] *Basel Convention on the control of Transboundary Movement of Hazardous Wastes and Their Disposal* (adopted 22 March 1989, entered into force 5 May 1992). 1673 UNTS 126.

[10] M., Galley, *Shipbreaking*, pp. 43-44.

[11] *Hong Kong International Convention for the Safe and Environmentally Sound Recycling of Ships* (adopted 19 May 2009). SR/CONF/46.

[12] K., Gourdon, *Ship recycling*, p. 28.

[13] IMO, *Recycling of Ships*, http://www.imo.org/en/OurWork/Environment/ShipRecycling/Pages/JointILOIMOBCWorkingGroupOnShipScrapping.aspx (accessed 2 March 2025).

[14] N., Matz-Lück, '*The 2009 Hong Kong Ship Recycling Convention',* (Review of European, Comparative & International Environmental Law, Issue 1, 2010), p. 99.

[15] Regulation (EU) No 1257/2013 of the European Parliament and of the Council of 20 November 2013 on ship recycling, OJ 2 330/2.

[16] European Commission, *Ship Recycling*, https://ec.europa.eu/environment/waste/ships/index.htm (accessed 2 March 2025).

[17] EU SRR, Article 1; EU SRR, Recital Note (5).

[18] European Commission, *Ship Recycling*, (n16).

Despite these legislative efforts, around 70% of scrapped vessels in 2023 were taken apart on a beach in Bangladesh, India or Pakistan. Most vessels scrapped belonged to companies in East Asia and Europe.[19] Circumventions of the legislation through reflagging and cash buyers[20], has raised the concerns over whether current frameworks provide sufficient mechanisms for ensuring liability in the sector. It is against this background that this thesis examines the extent to which current legal instruments succeed in regulating ship recycling and whether they provide a sufficient basis for holding companies accountable for harmful practices.

1.2 Research Questions and Purpose

This thesis investigates how current international, and EU legal frameworks assign legal responsibility to corporate actors involved in ship recycling. The thesis examines the extent to which legal obligations are imposed on corporate actors (particularly shipowners) and how effective these obligations are in practice. It also considers whether the existing legal structure enables companies to avoid liability through reflagging, the use of intermediaries or other jurisdictional strategies. Academic literature on ship recycling has, over the past decades, primarily focused on environmental and human rights concerns, as well as obligations of states under International and EU legal framework. While these studies have provided important insight to the regulatory shortcomings and the hazardous working conditions at South Asian dismantling yards, there has been comparatively limited attention paid to the legal responsibilities of private actors, particularly shipowners and corporate intermediaries. Galley (2014) and Gourdon (2019) examine the environmental risks and the institutional landscape of ship recycling. Similarly, Bhattacharjee (2009) and Moen (2008) focus on the evolution of the international legal framework, but emphasises public international law and implementation by states, rather than the liability of commercial entities.

Sinemus (2021) highlights regulatory loopholes in the International and EU framework that allow shipowners to circumvent environmental obligations through the use of intermediaries and reflagging strategies. However, Sinemus analysis remains largely policy-oriented and does not engage substantively with private law mechanisms of liability. Glinski (2022) addresses aspects of private governance and liability, including the roles of classification societies and shipowners, yet leaves critical questions regarding direct legal responsibility under both International and EU framework. Glinski's analysis is also based on the proposal of EU framework rather than the final proposal. There is, therefore, a discernible research gap regarding the legal responsibility of corporate actors involved in ship recycling, especially in terms of how existing legal frameworks interact with

[19] NGO Shipbreaking Platform, *Platform publishes list 2023* https://shipbreakingplatform.org/platform-publishes-list-2023/ (accessed 11 May 2025).

[20] See Chapter 2.4.

commercial practices intended to evade regulation. Thus, this thesis aims to address the gap by analysing whether the current International and EU frameworks impose enforceable obligations on shipowners and related private actors, and to what extent such obligations are effective in practice.

The objective is therefore twofold: Firstly, to examine the legal frameworks that hold companies accountable for ensuring environmentally sound ship recycling. Secondly, to scrutinise whether these frameworks are sufficient to meet policy goals or require further development. By focusing on legal liability rather than state obligations or environmental outcomes, this thesis seeks to contribute to the broader legal discourse on sustainability and transnational corporate conduct.

Research questions:

1. To what extent does the current international and EU legal framework provide adequate tools for holding companies accountable in the context of ship recycling?

2. Is the European Ship Recycling Regulation (EU SRR) and the Waste Shipment Regulation (EU WSR), as part of the EU legal regime, sufficient in scope and enforcement to meet its stated objectives of safe and environmentally sound ship recycling?

3. Do international conventions such as the Basel and Hong Kong Conventions, contribute to ensuring corporate responsibility and minimising harmful shipbreaking practices?

4. Are there legal and practical obstacles within the international and EU frameworks that allow companies to circumvent their responsibilities?

1.3 Method and Material

This thesis applies a legal dogmatic method, which is one of the most widely used methods in traditional legal academic research. As Kleineman explains, the method is primarily used to identify and reconstruct applicable law based on accepted legal sources such as legislation, case law, preparatory works and legal literature.[21] It seeks to clarify the current legal position rather than propose reforms, and it emphasises the importance of transparency, coherence and legal logic.[22] In this thesis, the analysis departs from a concrete legal problem: how corporate responsibility is allocated in the context of ship recycling. The thesis examines binding sources such as the EU Ship Recycling Regulation (EU SRR), the Waste Shipment Regulation (EU WSR),

[21] J., Kleineman, '*Rättsdogmatisk metod'* in M. Nääv & M. Zamboni (ed.), *Juridisk metodlära* (Lund: Studentlitteratur, 2018), pp. 21-23.
[22] *Ibid.*, pp. 25-27.

the Basel and Hong Kong Conventions, as well as soft law and case law from EU and international levels.[23] The inclusion of relevant case law serves to illustrate how the frameworks operate in practice and to demonstrate the legal and practical challenges that arise when attempting to enforce environmental and human rights standards.

The thesis applies a de lege feranda perspective throughout, but also includes a critical discussion of the internal coherence where appropriate. This in accordance with the view that legal dogmatic research may reveal alternatives without departing from its normative foundation.[24] In addition, the thesis applies an international perspective by analysing global conventions and their interaction with EU Directives, a comparative perspective by examining divergences in legal implementation and enforcement across jurisdiction, and a legal development perspective by evaluating recent initiatives such as the Corporate Sustainability Due Diligence Directive and the Environmental Crime Directive.

Finally, the thesis literature builds on an extensive relevant academic literature in maritime and environmental law, which supports the legal analysis of corporate responsibility under international and EU frameworks. It is used to provide structure and coherence by clarifying relationships between fragmented legal sources.[25]

1.4 Delimitations

This thesis primarily focuses on international legal frameworks and EU legislation related to ship recycling. National laws fall outside its scope, as the aim is to assess corporate responsibility within the supranational legal sphere. Although domestic courts may interpret or apply international law, this thesis focuses solely on legal instruments at the international and EU levels in order to maintain a clear and consistent analytical scope. The analysis centres in the applicability of these instruments and whether they enable the imposition of corporate liability for non-compliant ship recycling practices. While enforcement plays a crucial role in ensuring compliance, it will only be addressed insofar as it directly relates to the scope and application of the relevant legal frameworks. Likewise, specific provisions within these frameworks will be examined selectively, and only to the extent necessary to support the overall purpose of the thesis.

The thesis focuses on the legal mechanisms aimed at minimising substandard ship dismantling rather than addressing its consequences, it will not focus on the environmental or legal aftermath in shipbreaking locations. Likewise, although the humanitarian concerns surrounding the industry are significant,

[23] J., Kleineman, '*Rättsdogmatisk metod',* pp. 23, 30-31.
[24] *Ibid.,* pp. 36-37.
[25] *Ibid.*, pp. 36-38.

they fall outside the scope of this thesis. The primary geographical scope will be on shipbreaking operations between Europe and South Asia. This is due to the fact that most developed frameworks are applicable in Europe and most vessels are scrapped in South Asia. While ship recycling yards exist worldwide, and their practices may not necessarily be more environmentally sound or safer, the emphasis on South Asia is because the region receives the highest volume of end-of-life vessels by Gross Tonnage.[26]

The selected Case Law analyses judicial decisions and is not intended to provide definitive conclusions about the overall legal framework governing shipbreaking. Instead, these judgements serve as illustrative examples that shed light on the practical implementation, or avoidance, of legal requirements. Analysing such cases enables a more nuanced understanding of the effectiveness of existing legal frameworks. By engaging with the legal reasoning of courts and acknowledging interpretative uncertainties, the analysis remains grounded in the framework rather than anecdotal fact, thereby reinforcing the thesis's purpose.

1.5 Outline

Chapter 2 introduces the legal and practical challenges within the ship recycling industry. This includes the economic incentives for substandard dismantling, jurisdictional fragmentation and corporate strategies such as reflagging, and delegation of responsibility to intermediaries. The chapter aims to examine the systemic conditions that complicate regulatory enforcement and liability.

Chapter 3 presents the key international and EU legal frameworks relevant to ship recycling, including binding instruments and soft law. The chapter aims to identify the obligations imposed on corporate actors and to evaluate the coherence and enforceability of the current regulatory frameworks.

Chapter 4 explores the legal liability of shipowners and further extends the analysis of the evolving international and EU liability framework for corporate actors. This is undertaken though examining selected case law that illustrates how legal obligations are interpreted and applied in practice. These judicial decisions are not exhaustive but are examined to illustrate how companies navigate or circumvent the regulatory frameworks. In addition, the chapter considers recent legislative developments such as the Corporate Due Diligence Directive and the revised Environmental Crime Directive, assessing their potential to enhance corporate responsibility.

[26] NGO Shipbreaking Platform, *Platform publishes list 2023* (n19).

Chapter 5 brings together findings of the previous chapters in order to address the research questions. The chapter identifies where the law falls short in practice, discusses possible legal reforms, and suggests avenues for further research. The final section closes with a reflective evaluation of the broader implications of legal liability for ship recycling.

2 Context and Challenges of Ship Recycling

2.1 Flag State Jurisdiction and the Legal Classification of Vessels

In the legal context of the maritime industry and ship recycling, the terms "ship" and "vessel" are often used interchangeably. This is reflected in the United Nations Convention on the Law of the Sea (UNCLOS)[27], where both appear without formal distinction. Although, the dictionary definition of "ship" tends to be more restrictive, which may create limitations when discussing decommissioning and recycling. For this reason, this thesis primarily uses the term "vessel," as its broader definition allows for a more comprehensive discussion.[28]

Similarly, the terms "ship dismantling," "ship breaking," "ship scrapping," and "ship recycling" are used with contextual variation. Different terminology is necessary to accurately reflect the reality of the industry. The substandard methods commonly used in parts of Asia cannot rightfully be called "ship recycling," which is why "ship dismantling" or "ship breaking" will be used when discussing these practices. This aligns with terminology used by the Basel Convention, the ILO, environmental ministries, and the Non-Governmental Organization (NGO). However, since the focus of this thesis is on sustainable vessel disposal and regulatory efforts to improve industry standards, "ship recycling" will be used when referring to legal frameworks and environmental objectives. This is consistent with the terminology adopted by the IMO and transport ministries.[29]

The dismantling of ships is not unregulated, there are both regional and international regulations applicable to the EU owners.[30] The UNCLOS provides the basic principles of ship registration. According to article 92(1), every vessel must sail under a single flag, and under Article 94(1), the flag state is responsible for exercising effective control over its vessels. Although UNCLOS has no definition of "flag state", [31] Article 91(1) clarifies the state of registration constitutes the vessels nationality, thereby placing it under the jurisdiction of that state.[32] This jurisdiction encompasses areas such as labor

[27] United Nations Convention on the Law of the Sea (adopted 10 December 1982, entered into force 16 November 1994).1833 UNTS 3.

[28] H., Yang, *Jurisdiction of the Coastal State over Foreign Merchant Ships in Internal Waters and the Territorial Sea*, (Springer, 2006), pp. 8-13.

[29] IMO, *Maritime Facts and Figures: Ship Recycling*, https://imo.libguides.com/c.php?g=659460&p=4744890 (accessed 2 March 2025).

[30] E., Sinemus, "*Convenient Shipbreaking: Shortcomings of Environmental Obligations for EU Ship Owners and Possible Solutions* (UiT The Arctic University of Norway, Alumni Paper, 12 March 2021), https://site.uit.no/nclos/wp-content/uploads/sites/179/2021/03/Eva-Sinemus-Final_120321NCLOS-Blog.pdf (accessed 10 April, 2025), p. 1.

[31] H., Yang, *Jurisdiction of the Coastal State*, p. 26.

[32] *Ibid.*, pp. 26-27.

laws, environmental laws, and compliance with international agreements to which the flag state is a party, as the state exercises legal control over the vessel through its sovereignty.[33]

Flag state jurisdiction applies to every vessel to some extent, but it becomes most prominent when a ship is navigating the high seas, where no national territory interferes, and the flag state's authority is exclusive.[34] This principle stems from the notion that the high seas are a shared global space, not a subject to any nation's sovereignty.[35] The Flag state jurisdiction should be seen as a way of minimising a legal vacuum on the high seas, this given that no State has the competence to regulate the high seas on a basis.[36] This is formally expressed in article 87 UNCLOS and Article 2 of the 1958 High Seas Convention[37]. Article 89 UNCLOS explicitly invalidates any sovereignty claims over these waters. As a result, the legal oversight of the flag state fills the jurisdictional gap when a vessel is outside any national water.[38] However, once a vessel enters the maritime zone of another state, its flag state's authority becomes secondary to the territorial jurisdiction of the coastal state.[39]

UNCLOS defines several maritime zones, and as a ship nears the coastline, the coastal state gains increased legal control.[40] Throughout a vessel's operational lifetime, a seagoing vessel is subject to various layers of legal oversight. This ranges from its flag state jurisdiction, international rules to the laws of coastal states when operating near shore.[41] While the vessel itself is not treated as an individual legal subject, but in combination with its crew and cargo, it forms a legal entity tied to its flag state.[42] The International Tribunal of the Law of the Sea (ITLOS) affirmed this in the *Saiga (No. 2) case*.[43] The ITLOS held that the legal identity of a vessel is determined by its flag, not by the nationality of its crew or cargo. It was clarified that vessels are subject to the exclusive jurisdiction of their flag, even when crew members are foreign

[33] UNCLOS Article 92; Article 94(2)(b).

[34] H., Yang, *Jurisdiction of the Coastal State*, p. 27.

[35] Official Records of the General Assembly, Eleventh Session, Supplement No. 9, UN Doc. A/3159, Chapter III, Part II, Article 27 commentary, para 1.

[36] A., Serdy, '*Public International Law Aspects of Shipping Regulation'* in Yvonne Baatz (ed), *Maritime Law*, 5th edn (Informa Law from Routledge, 2020), p. 349.

[37] *Convention on the High Seas* (done at Geneva on 29 April 1958. Entered into force on 30 September 1962) United Nations, Treaty Series, vol. 450, p. 11; p. 82.

[38] R., Warner & K., Stuart (ed.), *Routledge handbook of maritime regulation and enforcement,* (Routledge, 2016), p. 17.

[39] H., Yang, *Jurisdiction of the Coastal State*, p. 34.

[40] R., Warner & K., Stuart, *Routledge handbook*, pp. 3-4.

[41] H., Yang, *Jurisdiction of the Coastal State*, pp. 31-33.

[42] *Ibid.*, pp. 14-15.

[43] *The M/V 'Saiga' (No 2) Case* (Saint Vincent and the Grenadines v Guinea) Merits, Judgment of 1 July 1999, ITLOS Case No 2, ICGJ 336.

nationals. This underscores the importance of flag state obligations in regulating vessel activity under international law.[44]

Understanding these jurisdictional principles is essential for assessing how corporate responsibility is allocated in the ship recycling sector. Since enforcement and liability often depends on which state exercises legal authority over a vessel, the distribution of jurisdiction across flag, costal and international regimes become central of this thesis.

2.2 Duties and Responsibilities of the Flag State

A flag state carries several core responsibilities under international and EU-law. UNCLOS include, inter alia, keeping an official ship register, exercising legal authority over vessels flying its flag and implementing safety measures for operations at sea. These obligations outline a wide range of duties, all from ensuring safe navigation to minimising maritime collisions.[45] While shipowners are primarily responsible for compliance with applicable rules, it is the flag state's task to supervise and ensure that these obligations are respected.[46] Article 217 UNCLOS further clarifies this role by requiring states to enforce 'international standards'. This includes verifying required certificates, investigating possible violations, and initiating legal procedures when necessary.[47] The term 'international standards' in this context is somewhat vague. It is often used alongside "generally accepted international rules and standards", but there is still a lack of legal definition. The prevailing academic interpretation is that these rules and standards refer to widely supported international agreements and practices adopted by a significant number of states.[48]

Given these responsibilities, the role of the flag state can be seen as twofold. It has administrative duties, such as maintaining ship documentation and operational obligations, including monitoring and enforcing safety regulations. However, in practice, some flag states have minimal interaction with the vessels they register.[49] Much of the operational oversight falls to network classification societies, private actors and national authorities. This fragmented structure can make enforcement difficult and create room for avoidance of legal duties by both shipowners and flag states.[50]

Additionally, there are disparities in how states interpret and fulfil their obligations. Some may lack the financial or institutional capacity to enforce

[44] *The M/V 'SAIGA' (No 2) Case*, paragraph 105; Serdy, A., *Public International Law*, p. 349.

[45] UNCLOS, Article 94.

[46] R., Warner & K., Stuart, *Routledge handbook*, p. 43.

[47] H., Yang, *Jurisdiction of the Coastal State*, p. 28.

[48] S., Brynolf, K., Andersson & J. F., Lindgren, *Shipping and the Environment: Improving Environmental Performance in Marine Transportation* (Springer, 2016), p. 87.

[49] R., Warner & K., Stuart, *Routledge handbook*, pp. 45-47.

[50] *Ibid.*, p. 53.

compliance effectively. Even with the right intentions, limited resources can hinder enforcement, potentially resulting in accidents or environmental harm.[51] It is therefore not only private actors but also flag states themselves that play a decisive role in shaping the conditions under which ship recycling occurs. A single flag state can register a vast number of vessels, and when such a state fails to meet its international obligations, the consequences can be both systemic and severe. These dynamics are central to understanding the broader challenges of corporate liability.

2.3 Port State Control

While UNCLOS places primary responsibility for vessel compliance on the flag state, port states have become essential actors in maritime oversight, stepping in to ensure that ships meet international standards where flag states fail to do so. Flag states are often distant from the day-to-day operations of the vessels they register, making it challenging for them to exercise effective control or enforce international obligations. When a flag state fails to meet its responsibilities, the task of verifying whether vessels comply with global standards tends to fall on others. Since inspections are carried out physically, usually while a vessel is docked, port states are typically in the best position to take on this role. Through post state jurisdiction, they are granted both legislative and enforcement authority to uphold maritime safety within their territory.[52]

While the flag state remains formally responsible for ensuring a ship's compliance, in practice, Port State Control has become the most effective tool for enforcing international standards As the enforcement capacity of flag states weakens (either through lack of will or resources) the role of the Port State Control becomes increasingly significant.[53] Although initially seen as a backup when flag states failed, the Port State Control has evolved into a critical component of global maritime governance.[54] There are various methods for the Port State Control to promote safety at sea, most notably the power to detain or ban non-compliant ships.[55] This ability serves as a deterrent for poor practices, even though limited resources mean that only a small fraction (roughly 25%) of all incoming vessels can be inspected.[56] To maximize the effectiveness of limited resources, inspections are often targeted at high-risk vessels. They are identified through frameworks like the Paris Memorandum of Understanding (Paris MoU)[57], a cooperative arrangement among European and other maritime administrations. The MoU

[51] M. D., Evans, *International law*, 4th edn (Oxford University Press, 2014), p. 157.

[52] T., Vechiu, '*Flag States - Port States – Classification Societies Safety Network*', in M., Musi (red.), *Port, Maritime and Transport Law Between Legacies of the Past and Modernization* (Bonomo Editore 2018), pp. 126–127.

[53] R., Warner & K., Stuart, *Routledge handbook*, pp. 71-72.

[54] *Ibid.*, p. 81.

[55] [55] T., Vechiu, *Flag States*, p. 125.

[56] S., Brynolf, et al., *Shipping and the Environment*, p. 132.

[57] Another example of this is the Tokyo MoU.

works to harmonize the Port State Control procedures and to eliminate unsafe ships from international trade. There are nine such regional MoUs worldwide, each operating within its own region but sharing similar goals.[58] Paris MoU, in particular, has developed a classification system for flag states based on inspection records.[59] This white-grey-black list helps guide inspection, encouraging shipowners to register with well-performing flag states.[60] Ships flying a white-listed flag are inspected less frequently, and those from states on the "whiter-than-white" list may even be exempt altogether, provided they also pass a formal IMO audit. Conversely, ships from grey or black-listed states are prioritized for inspection.[61]

Despite these efforts, the Port State Control alone cannot ensure maritime safety. Past Incidents have shown that even vessels flagged as high risk can pass inspections and still cause serious harm. The *Erika* disaster 1999 is a notable example: inspected twice shortly before it sank of the coast of France, the ship passed both times with only minor issues flagged, despite ultimately causing a major oil spill. This and similar events sparked reform efforts in Europe.[62] As a result, Directive 2009/16/EC on the Port State Control was adopted, entering into force in 2011. Building on the Paris MoU framework, the directive aimed to increase inspection frequently, unify enforcement standards, and better detect substandard ships across EU ports.[63] Since the disaster, frequency of inspection have risen to about 18.000 annually within the EU.[64] While inspections do not guarantee total safety, they play a key role in reducing the presence of dangerous or non-compliant ships, including those nearing the end of their service lids and bound for dismantling in Asia. However, the Port State Control authorities often lack the tools to act unless they are clearly informed of a ship's intended scrapping. Many shipowners conceal such plans or even forge documents to avoid scrutiny, making it difficult to intervene before vessels are beached at substandard dismantling sites.[65]

These limitations underscore a broader legal concern: despite existing enforcement mechanisms, corporate actors are often able to avoid responsibility for harmful dismantling practices. The fragmentation between flag and port state responsibilities, combined with weak information disclosure, creates regulatory blind spots at a critical stage in a vessel's lifecycle.

---

[58] Paris MoU, '*About Us, Organisation'*, https://www.parismou.org/about-us/organisation (accessed 10 April 2025).
[59] T., Vechiu, '*Flag States'*, pp. 130-132.
[60] R., Warner & K., Stuart., *Routledge handbook*, p. 49.
[61] *Ibid.,* p. 52.
[62] T., Vechiu, '*Flag States'*, p. 134.
[63] Directive 2009/16/EC, Article 1.
[64] T., Vechiu, '*Flag States'*, p. 136.
[65] M., Galley, *Shipbreaking*, p. 9.

2.4 Different Types of Circumventions of the Legislation

While Port State Control plays a crucial role in upholding maritime standards, its effectiveness is limited by what can be seen and accessed. Enforcement mechanisms rely heavily on transparency and timely information. However, in practice, many shipowners exploit this limitation by concealing a vessel's intended scrapping. This next section explores how corporate actors use tools such as reflagging and third-party sales to avoid detection and circumvent international and EU legal obligations.

2.4.1 Flag of Convenience (FoC) and Open Registries

The term 'Flag of Convenience (FoC) refers to the practice of registering a vessel under the flag of a state which the shipowner has little or no substantive connection, often to benefit from more lenient regulatory regimes. The phrase emerged in the 1970's.[66] Many of these states operated their registries like businesses, seeking to attract foreign-flagged vessels. To remain competitive, they may offer regulatory leniency, anonymity for owners, or simplified registration processes.[67] In the past, a ship's flag typically reflected the nationality of its owner, creating a clear legal and national connection between the two. However, with the rise of globalization, this relationship has shifted significantly, which has made this procedure a 24-hour procedure.[68]

Although today, the more neutral term "open registry" is commonly used to distinguish between responsible maritime administrations and those who exploit regulatory loopholes. While not all open registries are FoCs, many exhibit overlapping characteristics, such as regulatory leniency, lack of ownership transparency and inadequate enforcement capacity.[69] Therefore in this thesis the term FoC or flag hopping will be used, as it identifies the part of the open registries that are misused. It is also more common for vessels to be registered in countries other than those where their owners are based.[70] In 2020 the top majority of EU countries ranked among the top 35 global ship-owning countries of the world, chose to register over 80% of their fleers under non-domestic flags.[71] In 2024 countries such as Germany, Greece and Japan had over 80% of their fleet capacity registered under another state. Bermuda, Monaco and Oman had all their tonnage flagged out.[72]

---

[66] E., Sinemus, *(*n30), p. 3.

[67] H., Yang, *Jurisdiction of the Coastal State*, pp. 23-24.

[68] K., Mitroussi & M. G., Arghyrou, '*Institutional performance and ship registration'* (Transportation Research Part E, vol. 85, 2016), p. 93.

[69] M., Galley, *Flagging Interest: Ship Registration, Owner Anonymity, and Substandard Shipping* (Springer, 2013), p. 1.

[70] R., Warner & K., Stuart, *Routledge handbook*, pp. 44-45.

[71] UN Conference on Trade and Development (UNCTAD), *Review of Maritime Transport 2020*, p. 41, https://unctad.org/system/files/official-document/rmt2020_en.pdf (accessed 11 April 2025).

[72] UNCTAD, *Review of Maritime Transport 2024,* UN Doc. UNCTAD/RMT/2024 (2024), p. 67.

The rise of open registries is tied to structural features that facilitate owner anonymity.[73] The motivations behind this trend are varied and often practical. Shipowners may seek lower taxes, looser regulations, or strategic advantages such as protection from liability.[74] In response to growing concerns about these practices, UNCLOS introduced the concept of a "genuine link" between a vessel and its flag state as referred in Art. 91 UNCLOS. This requirement was intended to curb reflagging and minimise the misuse of flag state jurisdiction.[75] However, the term lacks a precise definition and is not backed by concrete enforcement mechanisms.[76] The loose interpretation of a "genuine link" has contributed to the growth of open registries.[77]

Thus, it is submitted that selecting a flag is a decision about which legal system the vessel will be subject to. By choosing to register in a FoC, shipowners can reduce operations costs and bypass more stringent regulations. However, this flexibility often comes at a price. Ships flying under convenience flags have been linked to numerous maritime accidents. The IMO reported that the worst-performing flag states can have casualty rates up to 100 times higher than the best.[78] The issue is especially apparent in the shipbreaking sector, where vessels registered under FoC states frequently appear at dismantling yards with poor safety and environmental standards. Around 40% of vessels scrapped on South Asian beaches are registered under these flags.[79]

Against this background, it must be stressed that not every open registry operated irresponsibly. Some states permit foreign vessel registration while, to a large extent maintaining compliance with international standards. The term "open registry" is often used to distinguish between responsible registries and those who avoid their international obligations. This more neutral term helps clarify the difference between states that maintain high standards and those that deliberately undermine global rules. Therefore, criticism should be reserved for those flags that fail to meet basic legal, environmental, and safety expectations.[80] This implies that flag states are responsible for ensuring compliance with the international agreements they have ratified. However, when ship owners choose to register their vessel under flag states that do not have these international legal instruments on

[73] M., Galley, *Flagging Interest*, p. 11.

[74] R. M. F., Coles & E., Watt, *Ship registration: law and practice*, 2nd edn (Informa, 2009), p. 24.; M., Galley, *Flagging Interest*, p. 13.

[75] H., Yang, *Jurisdiction of the Coastal State*, pp. 22-23.

[76] R. M. F., Coles & E., Watt, *Ship registration*, p. 15; ECJ *Poulsen and Diva Navigation* Case C-286/90

[77] Galley, M., *Flagging Interest*, p. 8.

[78] J., Kraska, *Maritime power and the law of the sea: expeditionary operations in world politics* (Oxford University Press, 2011), pp. 415-416.

[79] European Economic and Social Committee (EESC), '*Opinion on Shipbreaking and the recycling society*', [2017] OJ C 34/46, point 3.2.

[80] R. M. F., Coles & E., Watt, *Ship registration*, p. 23.

hand, these rules lose practical effect, allowing shipowners to bypass trough simple reflagging strategies.[81]

2.4.2 "Cash Buyers" and Intermediaries

Shipowners facing the decision to dismantle a vessel are often presented with two main options. They can sell the vessel directly to a certified recycling facility in compliance with legal requirements or sell the vessel "as it is" to an intermediar (such as a cash buyer).[82] The latter route is commonly used as a method of distinguishing the real intent behind the transaction. By transferring ownership this way, the process is presented as a regular sale, obscuring the fact that the ship is destined for scrapping. Once under the control of the cash buyer, the vessel is frequently resold to a dismantling yard, where it is brought ashore and disassembled, often with little regard for safety or environmental impacts. Before reaching the yard, ships are often renamed, reflagged, and even sold multiple times in an intentional effort to cancel the original owners' identity.[83] The use of cash buyers contributes significantly to undermining the purpose of international and EU legal instruments designed to ensure safe and sustainable ship recycling. When a shipowner sells to a foreign-based cash buyer, it becomes difficult for authorities in the shipowner's home country to monitor the final fate of the vessel. Jurisdictional reach is effectively lost once the vessel leaves national waters, complicating efforts to detect and sanction non-compliance.[84]

There are several practical and financial reasons behind the widespread use of "cash buyers". First and foremost, the buyers usually offer full payment in cash, making the transaction quick and attractive, especially as it avoids the need for formal credit arrangements.[85] Secondly, financial incentives are a major driver. Dismantling yards in South Asia, where labour is cheap and regulatory enforcement weak, can offer considerably higher prices for ships than authorized facilities under more stringent conditions.[86] This price gap can amount from 100 USD to 500 USD per light displacement tonnage, depending on the local and legal framework.[87]

Additionally, shipowners often use this system to shield themselves from potential liability, both legal and reputational. By selling a vessel to a third-party intermediary, the owner distances themselves from subsequent breaches

---

[81] E., Sinemus, (n30), p. 5.

[82] NGO Shipbreaking Platform, '*Cash Buyers*', https://shipbreakingplatform.org/our-work/the-problem/cash-buyers/ (accessed 25 April 2025).

[83] M., Galley, M., *Shipbreaking*. p. 9.

[84] A., Pozdnakova, *Ship Recycling Regulation under International and EU Law* (Scandinavian Institute of Maritime Law, 2019), p. 57.

[85] H.N., Psaraftis (ed), *Sustainable Shipping: A Cross-Disciplinary View* (Springer, 2019), p. 220.

[86] T.G., Puthucherril, *From Shipbreaking to Sustainable Ship Recycling: Evolution of a Legal Regime*, (Martinus Nijhoff, 2010), p. 20.

[87] NGO Shipbreaking Platform, '*Cash Buyers*', (n82).

of environmental or safety standards, as well as from any accidents or pollution caused during the demolition process. Selling a vessel "as is, where is" also shifts the logistical burden to the buyer, who then assumes responsibility for staffing, provisions, transporting the vessel and dealing with authorities.[88] Despite the legal concerns this practice often goes unpunished due to evidentiary difficulties.[89] However, notable cases such as the *Eide Carrier* show that violation can be uncovered and enforced, highlighting the serious risks of engaging in such schemes.[90]

To summarise this chapter, it can be reiterated that the widespread use of FoC and cash buyers illustrates how legal responsibilities can be deliberately obscured or transferred, allowing shipowners to avoid scrutiny and liability. These strategies exploit jurisdictional fragmentation and the absence of binding enforcement tools, particularly in cross-border contexts. As a result, international and EU legal frameworks are frequently undermined in practice, despite formal commitments to safe and sustainable ship recycling. The following chapter examines whether the current legal frameworks is sufficient of minimising such evasive corporate practices and ensuring effective liability.

[88] *Ibid.*

[89] See discussion in Chapter 4.

[90] *Eide Carrier* (Norway), Gulating Court of Appeal, *Judgment of 22 March 2022*, LG-2021-73085.

3 International and EU Regulatory Frameworks for Ship Recycling

3.1 International Conventions and Principles

International regulation of ship recycling has historically developed though frameworks addressing hazardous waste. Two central instruments in this area are the Basel Convention and the Hong Kong Convention, which together shape the global regulatory landscape for end-of-life vessels. This chapter examines the scope, principles and challenges of these frameworks, with a focus on how they impose (or fail to impose) responsibility on corporate actors involved in ship dismantling.

3.1.1 Basel Convention: Scope and Application

The 1989 Basel Convention on the Control of Transboundary Movements of Hazardous Wastes and Their Disposal (Basel Convention) plays a significant role in international environmental law.[91] It regulates the cross-border movement and disposal of hazardous waste, aiming to reduce the environmental and health risks associated with such activities. In 1995, the Convention was supplemented by the Basel Ban Amendment, which prohibits hazardous waste exports from OECD to non-OECD countries. Although the amendment only entered into force in 2019,[92] its principles are already binding within the EU through the Regulation (EC) No. 1013/2006 on shipments of waste (EU WSR).[93]

At its core the Convention embeds several legal principles that shape its regulatory framework. These include the Proximity Principle, the Polluter Pays Principle and the overarching principle of Environmentally Sound Management.[94] Article 4 of the Basel Convention sets out the principles such as waste minimization, the proximity principle and environmentally sound disposal. The Polluter Pays Principle sets out that those responsible for environmental harm must bear the cost, ensuring liability is not shifted to others who play no role in causing damage.[95]

These principles emphasize that states should take responsibility for hazardous waste generated or managed within their jurisdiction, and that such

[91] Basel Convention (n9) p. 5-9.

[92] European Commission, *Commission Staff Working Document – Impact Assessment, Accompanying the Proposal for a Regulation on Shipments of Waste*, SWD(2021) 331 final, Brussels, 17 November 2021. Annex 13.

[93] EU WSR, Preamble paragraph. 3.

[94] A.E., Moen, *Breaking Basel: The elements of the Basel Convention and its application to toxic ships* (Marine Policy 23(6), 2008), p. 1054; Basel Convention (n9) p. 5-9.

[95] S. Kravchenko, T.M.R., Chowdhurt and Md. J., Houssain Bhuiyan *'Principles of International Environmental* Law' in S., Alam (ed.), *Routledge Handbook of International Environmental Law* (Routledge, 2012), p. 50.

waste should ideally be treated as close as possible to its point of origin.[96] The overarching aim of the Convention is to limit international transfers and prevent states from shifting environmental burdens onto others.[97] The Environmentally Sound Management is defined in Article 2 as taking all practical steps to ensure that waste is handled in a manner that safeguards both human health and the environment.[98] Both exporting and importing states are required to evaluate the environmental and health consequences of waste transfers and to approve them only when certain conditions are met, such as when the exporting country lacks the technical capacity to manage the waste or when the importing country needs the materials for recycling or recovery.[99]

One of the Conventions' key mechanisms is the Prior Informed Consent procedure. All states involved in export, import and transit of hazardous waste must be notified and give their formal consent before any shipment can take place.[100] Once approved, each shipment must be accompanied by documentation detailing the waste's contents and how it will be managed. This framework enables parties to meet their Environmentally Sound Management obligations and plays a vital role in regulating transboundary waste movement in practice. In relation to shipping, the Prior Informed Consent requirements are linked to the IMO's non-binding Guidelines on Ship Recycling, which recommend that vessels carry a "Green Passport", a document detailing the presence and location of hazardous material onboard.[101] Shipments that bypass the Prior Informed Consent process are considered illegal traffic under the Basel Convention.[102] Additionally, even movements that technically comply with the Convention may still need to be deemed unlawful if they breach the Basel Ban,[103] a 1995 amendment that prohibits exports of hazardous waste from OECD and non-OECD countries.[104] Although this amendment has not yet entered into force globally and is not legally binding for all parties, it has been incorporated into EU legislation through the Waste Shipment Regulation and is therefore enforceable within EU member states by means of Article 36.

However, one of the key challenges with the Basel Convention is that it was not designed with shipbreaking in mind, which complicates its application to

[96] M., Galley, *Shipbreaking*, p. 62.

[97] S., Alam & A., Faruque, *Legal Regulation of the Shipbreaking Industry in Bangladesh: The international regulatory framework and domestic implementation challenges* (Marine Policy, 2014), p. 50.

[98] Basel Convention Article 2(8).

[99] Basel Convention Article 4(9).

[100] Basel Convention Article 9; A.E., Moen, *Breaking Basel*, p. 1055.

[101] A.E., Moen, *Breaking Basel*, p. 1055.

[102] Basel Convention Article 9(1).

[103] D., Langlet, *Prior informed consent and hazardous trade: regulating trade in hazardous goods at the intersection of sovereignty, free trade and environmental protection* (Kluwer Law International, 2009), p. 84.

[104] S., Alam & A., Faruque, *Legal Regulation*, p. 52.

the industry. While the Convention regulates the transboundary movement and disposal of hazardous waste, its relevance to end-of-life vessels is ambiguous.[105] These ships often contain materials identified as hazardous under the Convention (such as asbestos, lead and mercury) raising the possibility that a ship destined for dismantling could legally qualify as hazardous waste.[106]

Despite this, the classification of vessels under the Basel framework has been debated since the Convention's adoption. Many industry actors argue that as long as a vessel remains operational and sails under its own power, it should not be considered waste. From that standpoint, a vessel would only fall under the Basel Convention once it ceases to be seaworthy or no longer qualifies as a ship under flag state jurisdiction. Essentially, when it becomes a total loss.[107] Although there is no legal conflict in treating a vessel as waste under Basel while defining it as a ship under other instruments (like UNCLOS or IMO guidelines), the real difficulty lies in pinpointing when a vessel transitions from being a functioning ship to becoming waste.[108]

In the view of a notable commentator, this interpretation would exclude most ships from the Basel Convention until physical dismantling has already started, which is clearly impractical and undermines the Convention's preventative purpose. A more logical alternative is to base the classification on the shipowner's intention to dispose of the vessel. However, determining the exact moment this decision is made is extremely difficult. Last-minute ownership transfers, lack of transparency and non-compliance with the Prior Informed Consent procedures make it hard for authorities to track which vessels are headed for dismantling and when that decision was made.[109]

3.1.1.1 Limitations of the Basel Convention

When applying the Basel Convention to the context of ship recycling, it becomes evident that numerous practical obstacles hinder its sufficient enforcement. Some of these are rooted in legal shortcomings, such as vague definitions and limited applicability to the specific circumstances of shipbreaking. Others are driven by deliberate actions from industry actors who seek to evade regulatory obligations.[110] These legal challenges do not necessarily imply that the Convention is weak in substance. Rather, they reflect its misalignment with the complex realities of the shipbreaking

[105] S., Alam & A., Faruque, *Legal Regulation*, p. 51

[106] M., Galley, *Shipbreaking*, pp. 61-62.

[107] T., Falkanger, H.J., Bull & L., Brautaset, *Scandinavian maritime law: the Norwegian perspective,* (Universitetsforlaget, 2017), p. 52.

[108] S., Bhattacharjee, *From Basel to Hong Kong: International Environmental Regulation of Ship-Recycling Takes One Step Forward and Two Steps Back*, (Trade, Law and Development, 2009), pp. 213-214.

[109] *Ibid.*

[110] S., Alam, & A., Faruque, *Legal Regulation*, p. 51.

sector.[111] The industry is known for practices aimed at deflecting responsibility, such as reflagging ships or transferring ownership shortly before dismantling, to avoid liability for hazardous materials onboard.[112]

Since enforcement under the Convention depends in part on identifying the exporting state, the last-minute changes in flag or ownership can obscure legal responsibility.[113] Flag state jurisdiction and sovereignty allow shipowners to shift between regulatory regimes with relative ease, often selecting those with weaker enforcement or oversight.[114]

Against this backdrop, the effectiveness of the Convention can be seen as depending on which legal jurisdiction applies to the vessel at a given time, whether due to changes in registration or physical relocation. This fluidity creates significant enforcement challenges, as it undermines the Convention's ability to consistently track and regulate the disposal of hazardous waste across borders. In contrast, shipowners often sell vessels "as is" to cash buyers,[115] who then reflag the ship and send it to South Asian yards with minimal oversight. Thus, enforcement becomes virtually impossible once it leaves Convention States. Even though the Basel Ban is incorporated, including the EU amongst others, the actual traceability and enforcement mechanisms fall short when ships are transferred via intermediaries.

3.1.2 The Hong Kong Convention: Scope and Application

The Convention was officially adopted by the International Maritime Organisation (IMO) on 19 May 2009 and followed by five years of coordinated efforts between the IMO, the ILO, and the Conference of the Parties to the Basel Convention.[116] The goal of this collaboration was to align the existing international work and set a unified standard for safe and sustainable ship recycling practice.[117] In contrast to the Basel Convention, the Hong Kong Convention was specifically created to regulate the shipbreaking industry. Its primary goal is to ensure that ships, when dismantled, do not present avoidable threats to human health or the environment.[118] It was developed to transform existing guidelines and soft law into a binding legal framework, the Convention takes the form of a framework convention.[119] Instead of relying on separate agreements to provide detailed regulations, it

[111] M., Galley, *Shipbreaking*, pp. 69.
[112] See Chapter 2.4.
[113] See Chapter 2.2.
[114] S., Bhattacharjee, *From Basel to Hong Kong*, pp. 214-215.
[115] See Chapter 2.4.1.
[116] K., Gourdon, *Ship recycling*, p. 28.
[117] IMO, *Ship Recycling*, https://www.imo.org/en/OurWork/Environment/Pages/Ship-Recycling.aspx (accessed 14 April 2025).
[118] IMO, *The Hong Kong International Convention for the Safe and Environmentally Sound Recycling of Ships*, https://www.imo.org/en/about/Conventions/pages/the-hong-kong-international-convention-for-the-safe-and-environmentally-sound-recycling-of-ships.aspx (accessed 14 April 2025).
[119] IMO, *Ship Recycling*, (n116).

incorporates technical and procedural provisions directly through annexes attached to the core text.[120]

In 2023, the IMO's Hong Kong Convention received the ratifications needed to come into force on 26 June 2025.[121] This law requires ships to carry an Inventory of Hazardous Materials but does not provide how recyclers should dismantle ships or manage their wastes in a safe and Environmentally Sound Management. Shipping companies and beaching yards have been eager to see the Convention supplant the farther-reaching requirements of the Basel Convention and EU Ship Recycling Regulation.[122] Discussing challenges surrounding enforcement and the actual implementation of rules are common at the international level, no matter the jurisdictional area. The maritime sector is no exception. Because shipowners have the freedom to register their vessels in any open registry[123], there is intense global competition among states to attract registrations. This dynamic often creates economic motivations for countries to relax or overlook international standards, making it harder to enforce consistent rules.[124] To address this, the IMO has introduced initiatives such as the Code for the Implementation of the IMO Instruments, adopted in 2005, as well as various non-binding resolutions and the Member State Audit Scheme (mandatory since 2016). These mechanisms aim to strengthen state compliance and harmonize enforcement globally.[125] The IMO's enforcement initiatives not only improve the implementation of its own instruments but also support wider obligations under frameworks like UNCLOS. This regulatory infrastructure forms the foundation for more specific treaties, such as the Hong Kong Convention, designed to address maritime challenges.[126]

The Convention applies to both ships and ship recycling facilities that are registered or operated under the jurisdiction of a state party of the agreement.[127] It is the first legal instrument addressing the issue of shipbreaking and aims to solve the problem from multiple angles. Firstly, it regulates the shipbreaking process at the end of the vessels' life. Secondly, it provides rules on the design, construction and maintenance through a 'cradle to grave' approach.[128] Its scope includes not only conventional vessels but also various floating structures, even those that have been stripped of onboard

[120] N., Matz-Lück, *Safe and Sound Scrapping*, pp. 99-100.
[121] IMO, '*Hong Kong Ship Recycling',* (n117).
[122] NGO Shipbreaking Platform, *Impact Report 2022–2023*, https://shipbreakingplatform.org/wp-content/uploads/2025/02/ImpactReport2223.pdf (accessed 14 April 2025).
[123] See Chapter 2.4.1.
[124] R.M.F., Coles, Richard & E., Watt, *Ship registration*, p. 25.
[125] R., Beckman & S., Zhen, *The Relationship between UNCLOS and IMO Instruments*, (Asia-Pacific Journal of Ocean Law and Policy, 2017), p. 228.
[126] *Ibid.*
[127] K., Gourdon, *Ship recycling*, pp. 28-29.
[128] U.D., Engels, *European Ship Recycling Regulation: Entry-Into-Force Implications of the Hong Kong Convention*, (Springer, 2013), p. 27.

equipment or are being towed. This broad definition is designed to reduce the legal uncertainty often encountered when distinguishing between a functioning vessel and hazardous waste.[129] The Convention hereby offers valuable provision and holds both flag and recycling States accountable, this because only certified ships can be wrecked, and only authorised yards can conduct the wrecking.[130]

However, Article 3 of the Convention outlines specific exemptions. These include ships under 500 gross tonnages[131], vessels that have operated exclusively within the national waters of their flag state, and warships or other government-owned vessels used for non-commercial purposes.[132] Although these categories fall outside the direct application of the Convention, parties are still encouraged to ensure their dismantling aligns with the Conventions principles as much as reasonably possible. Vessels not covered under the Convention still fall within the scope of the Basel Convention, which applies universally to all waste, including decommissioned ships.

However, it is important to observe that the Convention does not alter the obligations found in other international treaties. Any formal exemptions must be dealt with under the Basel Convention itself.[133] According to Article 15(2) Hong Kong Convention, it is not intended to override other international legal obligations. This is reinforced by Article 30(2) of the Vienna Convention on the Law of Treaties, which provides that when a treaty explicitly states it will not conflict with earlier or later agreements, the provisions of the other treaty take precedence. In cases of inconsistency, this means the rules of the Basel Convention would prevail over those of the Hong Kong Convention.[134]

3.1.2.1. Limitations with the Hong Kong Convention

The Hong Kong Convention stands out as a forward-looking legal framework, notable for its comprehensive "cradle-to-grave" approach to regulating ships. It covers the full lifespan of a vessel, from its design and construction to its eventual dismantling, making it possible to eliminate the use of hazardous waste right from the beginning. In addition to regulating the recycle phase, the Convention also imposes standards related to operation and maintenance throughout a ship's service life.[135] While the Convention shares several similarities with the Basel Convention, it also introduces more specific and advanced obligations. These include the mandatory creation and maintenance of an Inventory of Hazardous Materials on

[129] K., Gourdon, *Ship recycling*, pp. 28-29.
[130] Sinemus, E., (n30).
[131] HKC Article 2(8).
[132] HKC Article 3(2)–(3).
[133] R., Caddell & D.R., Thomas (ed.), *Shipping, law and the marine environment in the 21st century: emerging challenges for the law of the sea: legal implications and liabilities*, (Lawtext Publishing, 2013), p. 230.
[134] *Ibid.*
[135] S., Bhattacharjee, *From Basel to Hong Kong*, p. 221.

board ships, the requirements that vessels be dismantled only in authorized recycling facilities, and a duty for participating states to report relevant data to the IMO.[136] Despite its strengths, the Convention faces a significant challenge, it has not yet entered into force. Like any legal instrument, its practical impacts remain unknown until applied. Without real-world enforcement or judicial interpretation, its potential remains theoretical. Therefore, the process of ratification and actual implementation becomes the primary concern.[137]

However, when compared to the Basel Convention, several weaknesses in the Hong Kong Convention's framework emerge. These include the absence of a clearly defined the Prior Informed Consent procedure. There are inadequate provisions for addressing illegal traffic, insufficient reference to core environmental law principles and broad exemptions that exclude numerous vessels from its scope. These gaps may limit the Convention's effectiveness.[138]

3.2 EU Legal Regime

3.2.1. EU Waste Shipment Regulation

In response to ongoing concerns about the export of hazardous waste to developing countries (as well as the fact that the Basel Convention often has been circumvented through semi-legal or technical loopholes) the European Union (EU) introduced Regulation No. 1013/2006 on Shipment of Waste. As stated in its preamble, the main objective of this Regulation is the protection of the environment.[139] The EU Waste Shipment Regulation governs the transboundary transport of waste within the EU, the The European Free Trade Association and OECD member states, as well as between the EU and third countries that are parties to the Basel Convention. The Regulation applies only when waste is transported within or through EU territory, or when exported to or imported to non-OECD countries.[140] In practice, this means that if a shipowner decides to dismantle a vessel while it is outside EU jurisdiction, and the ship does not return to European waters, the EU Waste Shipment Regulation does not apply. Even if the vessel is owned by a European entity. This jurisdictional limitation creates a regulatory gap that can be exploited by actors wishing to avoid stricter EU rules on hazardous waste.[141]

Although efforts have been made to tighten control and increase environmental safeguards, recent data indicate that approximately one-third of waste shipments remain illegal, underscoring significant challenges in

[136] M., Galley, *Shipbreaking*, pp. 166-167.

[137] J., Argüello Moncayo, *International law on ship recycling and its interface with EU law* (Marine Pollution Bulletin, 2016), p. 307.

[138] J., Argüello Moncayo, *International law,* p. 307.

[139] EU WSR Preamble (1).

[140] EU WSR Article 1.

[141] E., Sinemus, (n30).

enforcement and compliance within the current framework.[142] To address enforcement gaps and improve control, the EU adopted a revised Waste Shipment Regulation, which came into force on 20th May 2024. The new Regulation strengthens enforcement mechanisms by increasing penalties, enhancing digital tracking systems and introduces stricter the Prior Informed Consent procedures for waste exports, particularly to non-OECD countries.[143] While the Regulation is formally in place, most of its provisions will only take effect in May 2026, with the updated export rules beginning to apply in May 2027. Until then, the Regulation No. 1013/2006 continues to serve as the primary legal framework for cross-border waste movements.[144] Therefore this thesis will focus on how the previous Regulation affects states and shipowners.

3.2.1.1 Overview of the EU Waste Shipment Regulation

The EU Waste Shipment Regulations primary goal is to protect human health and the environment during transboundary movement of waste (recital 1). The Regulation applies to shipment between Member States, imports and exports involving EU countries and third countries that are parties of the Basel Convention, as well as transit trough the EU (Article 1(1)) EU WSR. It distinguishes between hazardous and non-hazardous waste and differentiates weather waste is destined for disposal or recovery, with stricter controls applying to the former (Article 3(1)) EU WSR. Exports of hazardous waste to non-OECD countries are strictly prohibited under Article 36 EU WSR, reflecting the EU's implementation of the Basel Ban Amendment. Hazardous waste may only be shipped for recovery operations within OECD countries under specific conditions. Notably, Article 50 requires Member States to impose effective, proportionate and dissuasive penalties for violations.

However, this Regulation's territorial application is limited. If a ship destined for dismantling leaves EU waters and does not return, the EU Waste Shipment Regulation does not apply, even if the shipowner is an EU entity. This loophole is crucial in the context of ship recycling, where many vessels are reflagged or sold to intermediaries shortly before scrapping.[145] The new Regulation maintains the ban on exports of hazardous waste to non-OED countries (Article 44 Regulation 2024/1157) and introduces enhanced due diligence obligations and electronic tracking requirements (Article 6; 36 Regulation 2024/1157).

---

[142] European Commission, Video: *How the EU is tackling illegal waste shipments*, 5 June 2024, <https://environment.ec.europa.eu/news/video-how-eu-tackling-illegal-waste-shipments-2024-06-05_en> (accessed 14 April 2025).

[143] European Commission, *Waste Shipments*, https://environment.ec.europa.eu/topics/waste-and-recycling/waste-shipments_en (accessed 14 April 2025).

[144] *Ibid.*

[145] E., Sinemus, (n30), p. 4; M., Galley, *Shipbreaking*, p. 69.

3.2.1.2 Limitations of the EU Waste Shipment Regulation

Although the 2006 EU Waste Shipment Regulation established a clear control regime on paper, its enforcement has proven problematic. A shortcoming lies in the jurisdictional limits, as mentioned above. Although, ships sold for dismantling while outside EU waters fall beyond its reach, as they are not formally treated as waste within the EU jurisdiction.[146] The ship recycling sector has routinely used the practice of reflagging or selling vessels to cash buyers to avoid EU obligations. This allows EU shipowners to shift responsibility for end-of-life vessels without formally triggering the Regulation's notification and consent procedure.[147] Reflagging practices is used precisely to circumvent both environmental and legal duties.[148] Illegal shipments remain common despite the regulatory framework. According to EU enforcement data, approximately one-third of all waste shipment were still considered illegal in recent years.[149] The paper-based notification system and lack of harmonised enforcement across Member States has weakened the Regulations' impact.[150]

The 2024 Regulation attempts to address these shortcomings. It introduces an EU-wide digital platform for shipment tracking (Article 6 Regulation 2024/1157) and authorises the Commission to suspend exports to OECD countries if they fail to ensure Environmentally Sound Management (Article 47 Regulation 2024/1157). It also links more closely with the EU Ship Recycling Regulation, making it clearer that ships departing the EU for scrapping to non-OECD facilities may constitute illegal exports (Article 2(3) Regulation 2024/1157). These reforms aim to close the liability gap and strengthen the EU's ability to minimise the externalisation of environmental harm.[151]

3.2.2. EU Ship Recycling Regulation

For those aiming to reform the global shipbreaking industry and address its environmental and human rights challenges, the EU Ship Recycling Regulation continues to be a central legal initiative. Although the EU has made regulatory progress, the shipbreaking reality in 2023 shows that much remains to be done. According to the NGO, 617 out of 889 ocean-going vessels in 2022-2024 were dismantled on the beaches of South Asia, primarily in Bangladesh, India and Pakistan, under dangerous and polluting conditions. These dismantled vessels represented over 80% of global Gross Tonnage.[152] The use of Flag of Convinience plays a key role in enabling these practices.

---

[146] E., Sinemus, (n30), p. 5.

[147] M., Galley, *Shipbreaking*, p. 71.

[148] S., Bhattacharjee, *From Basel to Hong Kong*, p. 214.

[149] European Commission, "*How the EU is tackling illegal waste shipments*", (n141).

[150] S., Alam & A., Faruque, *Legal Regulation*, p. 51.

[151] European Commission, *Proposal for a Regulation of the European Parliament and of the Council on shipments of waste*, COM(2021) 709 final, 17 November 2021, pp. 2–4.

[152] NGO Shipbreaking Platform, *Impact Report 2022–2023*, (n121).

In 2023, the most frequently used flags for end-of-life vessels were St Kitts and Nevis, Panama and Comoros. The data also show that many EU-based shipowners continue to reflag their vessels shortly before scrapping to avoid environmental obligations tied to the Regulation. The EU controls around 40% of the global fleet, yet only a small fraction of its end-of-life vessels gets recycled within the EU.[153] The Hong Kong Convention was intended as a comprehensive legal framework to tackle these issues. It aims to streamline various international guidelines and regulations into a single binding agreement, offering clearer expectations for shipowners handling vessels at the end of their operational lives. Despite these ambitions, the Hong Kong Convention remains stalled, as it has not yet entered into force.[154] To accelerate the progress, the EU took independent action by incorporating Hong Kong Convention principles into its own legislation through the EU Ship Recycling Regulation. While grounded in the Hong Kong Convention, the EU Ship Recycling Regulation further by introducing stricter standards, particularly in the areas of:

1. Health, safety and environmental protection,
2. Post-recycling waste management,
3. Monitoring and compliance mechanisms, and
4. An expanded list of hazardous materials under the Inventory of Hazardous Materials.[155]

Until the Hong Kong Convention becomes legally binding, the EU Ship Recycling Regulation functions as the most robust regulatory tool guiding shipbreaking practices toward greater sustainability. By enforcing its provisions within the EU, the Regulation also indirectly promotes Hong Kong Convention standards beyond European borders. Once fully implemented, member states and stakeholders subject to the Regulation are expected to have few reasons not to support or ratify the Hong Kong Convention when the opportunity arises.[156]

3.2.2.1. Overview of the EU Ship Recycling Regulation

The EU Ship Recycling Regulation, much like the Hong Kong Convention, on which it is based, adopts a comprehensive "cradle-to-grave" strategy for regulating vessels. This regulatory model monitors and controls hazardous materials onboard from the time of construction through to the vessel's

[153] Ibid.
[154] See Chapter 3.1.2.1.
[155] K., Gourdon, 2019, p. 29.
[156] J.I., Alcaide, E., Rodríguez-Díaz & F., Piniella, *European policies on ship recycling: A stakeholder survey* (Marine Policy, 2017), p. 263.

dismantling.[157] A central element of both the Regulation and the Hong Kong Convention is the Inventory of Hazardous Materials, formerly known under the IMO guidelines as the "Green Passport"[158]. According to the Regulation, ships are required to maintain an Inventory of Hazardous Materials throughout their entire operational life, updating it as needed during repairs, maintenance or inspections.[159] The Inventory of Hazardous Materials serves as crucial documentation, especially during the Port State Control inspections, to demonstrate compliance with hazardous material regulations.[160] The Regulation also incorporates several additional mechanisms first introduced in the Hong Kong Convention, such as regular inspections, certification requirements and the designation of national authorities responsible for overseeing implementation. These authorities are expected to report on enforcement activities to the IMO, playing a critical role in ensuring the regulation's practical effectiveness.[161] Under Article 11(3) EU SRR, port state authorities are empowered to take enforcement action, including warnings, detentions or even denial of port access, against vessels that fail to produce required documentation.

However, while Article 22 EU Ship Recycling Regulation grants member states discretion in how they implement their enforcement obligations, which may result in significant variation in the level and consistency of enforcement across Member States. When a vessel reaches the end of its operational life, Article 6(2)(a) EU Ship Recycling Regulation stipulates that shipowners must notify their administration and obtain a 'Ready for Recycling Certificate'.[162] A detailed Ship Recycling Plan must also be developed and approved by a designated authority.[163] Recycling can only take place at facilities that are authorized and listed in the 'European List' of approved ship recycling facilities, which ensures that the environmental and safety standards are met.[164] To be listed, facilities must comply with requirements laid out in Article 13 EU Ship Recycling Regulation.

One of the key strengths of the Regulation is that the approval and oversight of ship recycling facilities are handled independently of the exporting state according to notable scholars.[165] This centralized system, inspired by the Hong Kong Convention, aims to guarantee environmentally sound recycling practices by requiring facilities to meet EU-defined standards regardless of their location, this including outside the OECD-provided they can

[157] *Ibid.*
[158] See Chapter 3.1.1.
[159] EU SRR Article 5.
[160] R., Caddell & D.R., Thomas, *Shipping, law*, p. 232.
[161] J., Argüello Moncayo, *European policies*, p. 307.
[162] EU SRR Article 6.
[163] EU SRR Article 7.
[164] EU SRR Article 13(1); Article 14.
[165] R., Caddell & D. R., Thomas, *Shipping, law*, p. 234.

demonstrate full compliance.[166] The Regulation applies to all vessels sailing under the flag of an EU member state. Additionally, it extends in part to non-EU flagged vessels that enter EU ports or anchorages.[167] Although certain vessels (such as inland waterway vessels, government-owned ships and those under 500 gross tonnage) are excluded from its scope.[168] The requirement to carry a properly maintained Inventory of Hazardous Materials still applies to all vessels visiting EU waters.[169] This provision effectively extends elements of the Hong Kong Convention to ships registered in third countries, regardless of whether their flag states have ratified the Convention.[170]

3.2.2.2. Limitations and Implementation Challenges of the EU Ship Recycling Regulation

While the Regulation introduces several progressive measures intended to improve environmental and safety standards in ship recycling, its practical implementation reveals certain challenges. Since many of its functions rely heavily on member state enforcement, particularly through the Port State Control, the regulation's effectiveness depends on the resources, expertise and commitment of individual countries. If a member state lack trained personnel, institutional capacity, or sufficient funding for inspections, the tougher rules risk being reduced bureaucratic formalities without real impact.[171]

Additionally, the Regulation deviates from key environmental principles widely recognized in international law, including those found in the Basel Convention. Notably, it shifts much of the responsibility from those generating the pollution (the shipowners and operators) to the state where recycling occurs. This shift undermines established concepts such as the proximity principle, the polluter pays principle and Environmentally Sound Management.[172] Another limitation is the absence of financial mechanisms to motivate compliance. Economic considerations are often what drive shipowners to opt for dismantling at low-cost, poorly regulated yards. Although the Regulation acknowledges the importance of economic incentives, it merely mandates that the European Commission produce a feasibility report on such instruments, without introducing any direct measures.[173] Consequently, the burden of ensuring sustainable and safe ship recycling is largely placed on EU member states, while those with the most

[166] J., Argüello Moncayo et al, *European policies*, p. 306.
[167] EU SRR Article 13(1); Article 2(1).
[168] EU SRR Article 13(1); Article 2(2).
[169] EU SRR Article 13(1); Article 12.
[170] J.I., Alcaide et al., *European policies*, p. 268.
[171] Ibid.
[172] J., Argüello Moncayo et al, *European policies*, p. 307.
[173] EU SRR Article 13(1); Article 29.

influence over recycling decisions (the shipowners and other commercial actors) are not held directly liable in financial or operational terms.

3.3 Conclusion of the frameworks

While the international and EU regulatory frameworks aim to improve the safety and environmental standards of ship recycling, there are still legal issues that remain. There are fragmentated allocation of responsibility, ownership transfers and reflagging practices often allow companies to circumvent obligations. Once a vessel changes hands, original owners largely escape its obscured liability, while flags of convenience facilitate regulatory avoidance and weaken oversight.[174] Although international law upholds the "polluter pays" principle, enforcement in practice has shifted responsibility to recycling states, undermining environmental objectives. It is postulated that until the Hong Kong Convention enters into force, these weaknesses are likely to persist.[175]

While current frameworks establish important foundations, critical shortcomings remain regarding corporate responsibility, which subsequent chapter will address in depth.

[174] J., Hsuan, & C., Parisi, '*Mapping the Supply Chain of Ship Recycling*' (Marine Policy, 2023), https://doi.org/10.1016/j.marpol.2022.105604 (accessed 12 May 2025), p. 7.
[175] Ibid.

4 Legal Mechanisms for Corporate Responsibility and Liability in Ship Recycling

4.1 Corporate Responsibility in Ship Recycling

This chapter examines how liability is (or is not) assigned to corporate actors involved in ship recycling, focusing on both the existing legal frameworks and evolving case law. The aim is to evaluate whether civil or criminal liability mechanisms are capable of effectively holding corporations accountable for harmful dismantling practices. To understand how liability attaches to corporate actors in the ship recycling sector, it is necessary to first consider the evolution of international and EU frameworks for ship recycling has marked a shift from purely public law strategy to a public-private governance structure. Under this model, states provide the legal framework while private actors, such as classification societies and certifiers, are responsible for enforcing compliance.[176] This structure is evident in the Hong Kong Convention and its implementation within the EU through the Ship Recycling Regulation.[177] We have already discussed that people can turn with civil liability claims if they are affected. But how does it work with the frameworks and the implementation in practice. National regulators are responsible for implementing national and international regulations. International regulations impose varying degrees of regulatory pressure in specific countries. While all EU countries must comply with the Ship Recycling Regulation, South Asian countries are still struggling to comply with the Hong Kong Convention. In India, the economic value of ship breaking on a national level is of higher importance than the environmental and social impact on a local level.[178] As environmental and labor concerns around dismantling practices increase, institutional investors and civil society actors are also demanding more liability. Since the Ship Recycling Regulation does not contain an explicit national tort law, which opens the door for courts to establish duties of care for downstream harm based on both legal interpretation and social expectations.[179]

Integrated-reporting frameworks increasingly impose a broad "duty of care" on companies to avoid harm across supply chains. In shipping this means that vessel owners and managers are expected to account for the downstream impacts of end-of-life vessels, from environmental pollution to worker safety,

[176] C., Glinski, '*The public-private governance regime on sustainable ship recycling: : An in-depth analysis'*, (RECIEL - Review of European, Comparative & International Environmental Law, vol. 31, no. 2, 2022), pp. 268-269.

[177] See Chapter 3.2.2.

[178] J., Hsuan, & C., Parisi, *Mapping the Supply*, (n173).

[179] C., Glinski, '*The liability of shipowners and classification societies for environmental damage and unsafe working conditions at recycling yards'* (RECIEL - Review of European, Comparative & International Environmental Law, 31(3), 2022), p, 470.

even when they occur abroad.[180] Glinski highlights that this is now understood in terms of "value chain responsibility" in the maritime sector.[181] In practice, national tort law is beginning to reflect this duty. For example, recent English cases have held shipowners liable for downstream harm (a ship sold for scrap abroad that caused fatal accident)[182], effectively extending traditional negligence duties into transnational recycling chains.[183] These developments mirror emerging EU policy, both the Corporate Sustainability Due Diligence Directive (CSDDD)[184] and UN Guiding principles on Business and Human Rights Directive require firms to exercise due diligence over human rights and environmental risks in their value chains. In short, soft-law norms and corporate reporting standards now enshrine an environmental "duty of care", although these must be backed by clear liability rules.

Building on the principles, case law and liability directives above, the following analysis considers how these evolving norms have been operationalised in practice. It focuses on selected judicial decisions that demonstrate how liability is applied to corporate actors, particularly in cases involving transboundary harm and failures to assess not only the reach of current liability frameworks, but also their limitations and the legal innovations emerging to close those gaps.

4.2 Civil Liability and Enforcement Mechanisms

4.2.1 Gaps in Existing Civil Liability Frameworks

One of the key difficulties in regulating ship recycling lies in ensuring that private actors comply with existing legal frameworks. Economic incentives often drive shipowners to circumvent legal regulations, for instance by changing the flag of a vessel before its final voyage or concealing plans for scrapping. Strengthening the system by introducing additional disincentives for non-compliance could partly address this issue.[185] In recent years, both civil and criminal) national courts have interpreted international- and EU framework (such as the Basel Conventions' hazardous waste regime, EU Waste Shipment Regulation and Ship Recycling Regulation, and even the not yet-effective Hong Kong Convention) in domestic cases concerning end-of-life vessels.[186] International and EU frameworks have, until recently, offered

[180] C., Glinski, *The liability of shipowners*, p, 474.

[181] *Ibid.*, p. 468.

[182] See *Begum v Maran* (UK) Ltd [2020] EWHC 1846 (QB); *Begum v Maran* (UK) Ltd [2021] EWCA Civ 326.

[183] C., Glinski, *The public governance*, p. 273.

[184] See Chapter 4.2.2.

[185] I., Hadjiyianni & K., Pouikli, *The Regulatory Landscape of Ship Recycling: Justice, Environmental Principles, and the European Union as a Global Leader* (Edward Elgar Publishing, 2024), p. 254.

[186] A., Wessely, '*Shipbreaking judgment is timely reminder of shipping companies' liabilities*, *Cambridge Core Blog*, 21 September 2020,

limited specific governing for holding private actors civilly liable for harmful practices. Under EU law, specifically in product safety contexts, there are no general requirements that certification bodies bear civil liability if they breach their duties.[187] The EU Ship Recycling Regulation builds on the Hong Kong Convention's public approach, requiring safe and environmentally sound recycling, but it lacks a dedicated civil liability regime for shipowners.[188] Nevertheless, European private international law allows victims to bring claims either in the location where the damage occurred or where the certification was issued.[189] This typically covers compensation claims for personal injuries and environmental harm but may be insufficient when addressing the complexity of global value chains, such as shipbreaking, where multiple companies operate across various jurisdictions.[190]

In practice, the absence of a dedicated civil liability regime for shipowners facilitates regulatory evasion strategies such as reflagging and the use of intermediaries. Under both the older Basel Convention framework and EU Ship Recycling Regulation, dismantling often occurs outside the regulatory reach of the EU, in shipyards with substandard environmental and labor protections.[191] Dr. Glinski, professor in maritime law, means that the regulatory gap could be closed through value chain liability mechanisms.[192] In response to such gap, the EU introduced corporate due diligence obligations that could indirectly impact ship recycling. Recent case law developments demonstrate how courts have begun to address the liability of shipowners and intermediaries. Although the legal framework contains notable gaps, these reflect an emerging judicial willingness to uphold environmental standards and to impose duties of care on those who profit from substandard ship recycling practices.[193]

4.2.1.1 The EU Corporate Sustainability Due Diligence Directive: Scope and Shortcomings

The new Corporate Sustainability Due Diligence Directive[194], adopted in 2024, represents a shift toward holding parent companies accountable for abuses in their value chains. However, the final directive is narrower in scope than the 2022 proposal. Only companies with more than 1.000 employees and €450 million turnover fall within the scope (Article 2), and "disposal" of

https://www.cambridge.org/core/blog/2020/09/21/shipbreaking-judgment-is-timely-reminder-of-shipping-companies-liabilities/ (accessed 30 April 2025).

[187] C., Glinski, "*The liability of shipowners"*, p. 477.

[188] *Ibid.,* pp. 468-469.

[189] EU SRR Article 7(2).

[190] C., Glinski, C., "*The liability of shipowners"*, pp. 469 & 473.

[191] *Ibid.*, pp. 468-469.

[192] *Ibid.*, p. 473.

[193] A., Wessely, *Shipbreaking judgment*, (n185).

[194] The CSDDD is based on the OECD *Due Diligence Guidance for Responsible Business Conduct*, which provides practical support to companies in identifying, preventing and addressing adverse impacts linked to their operations and business relationships.

products (including ships) has been explicitly excluded from the definition of a "chain of activities (Article 3). This has raised concerns among scholars that hazardous ship dismantling may escape mandatory due diligence obligations.[195]

Despite these limitations, the directive requires companies to conduct risk-based due diligence in their operations, subsidiaries, and upstream/downstream business relationships (art. 7-9). Particularly with respect to violations of international instruments such as the Basel Convention (Annex, Part II). The Directive introduces civil liability, Article 29 CSDDD allows Member States to hold companies accountable for harms resulting from their failure to prevent adverse impacts, provided those harms were caused by breaches of Articles 10-11. However, the Directive limits liability to cases where the company failed to exercise due diligence and excludes liability for third-party actions outside its control. The liability was stronger in the proposal. How this will play out in practice will depend on how Member States implement Article 29 CSDDD in tort law.[196]

4.2.1.2 Selected Case Law Analysis: Civil Liability

In the civil law, developments in jurisdictions like the United Kingdom, Germany and the Netherlands are beginning to extend parent company liability for harm caused by subsidiaries, both domestically and internationally. Such trends could impact decisions regarding the selection of Ship Recycling Facilities and prevent shipowners from evading responsibility by selling vessels to intermediaries.[197] One of the most significant advances has occurred under English law. Building on previous landmark cases involving transnational harm, such as *Vedanta Resources v. Lungowe* (copper mining in Zambia)[198] and *Okpabi v. Royal Dutch Shell* (oil pollution in Nigeria)[199]. The English court has considered similar issues in *Begum v. Maran (UK) Ltd*[200]. In this case, the widow of a worker killed during shipbreaking activities in Bangladesh brought claims against Maran (UK), a broker that facilitated the sale of the ship to a cash buyer. Although the vessel, initially Greek-flagged, was reflagged to Palau before scrapping, the courts recognized that arguments establishing the broker's liability could equally apply to the original shipowner.[201] Both the High Court and the Court of

[195] J. Vogt & R. Subasinghe, *Protecting Workers' Rights in Global Supply Chains: Will the EU's Corporate Sustainability Due Diligence Directive Make a Meaningful Difference?* (SSRN 2024), pp. 117–120.

[196] *Ibid.*, pp. 120-121.

[197] I., Hadjiyianni, & K., Pouikli, *The Regulatory Landscape*, p. 255.

[198] *Vedanta Resources PLC* and *another v Lungowe and others* [2019] UKSC 20.

[199] *Okpabi and others v Royal Dutch Shell Plc and another* [2021] UKSC 3.

[200] *Begum v Maran* (UK) Ltd [2020] EWHC 1846 (QB); *Begum v Maran* (UK) Ltd [2021] EWCA Civ 326 (n181).

[201] *Begum v Maran* (EWCA Civ 326) (n181) para 121 per Males LJ.

Appeal found the claimant had a viable prospect of success, rejecting the defendant's attempt to have the claim dismissed.[202]

The court applied the *Caparo v. Dickman* test, according to which the claimant has to establish; (1) that the harm was foreseeable, (2) proximity of relationship between the claimant and defendant, and (3) that it is fair, just and reasonable that the law should impose a duty of a given scope on one party for the benefit of the other.[203] Given the notorious danger associated with shipbreaking at beaching yards,[204] the courts found the risk of harm to workers both foreseeable and inevitable (to some extent).[205] However, establishing proximity between the parties posed more challenges. The courts noted that the ship manager maintained full authority over the vessel and deliberately sold it to a cash buyer at a higher price, aware that the ship would be dismantled under unsafe conditions in Bangladesh.[206] The High Court noted (paragraph 43) that those engaging in inherently dangerous activities are subject to a heightened duty of care. Thus, by selling the vessel destined for dismantling the ship manager assumed responsibility to take reasonable preventative measures. This includes incorporating contractual provisions to guarantee safe dismantling at a Ship Recycling Facility.[207] This judicial approach effectively challenges the usual defences relied upon shipowners, such as the industry's prevailing practices, the lack of direct control over the final destination, or the typical reliance on intermediaries.[208] By expanding the scope of negligence, UK courts have paved the way for holding ship managers and shipowners accountable for injuries and environmental damage arising from unsafe shipbreaking activities conducted abroad.[209]

The *Begum case* was poised to break new ground in transnational tort liability for environmental and labor harms. Ultimately, it did not proceed to a full trial on the merits, the parties settled the claim in 2022.[210] Nevertheless, the English Court of Appel's judgement is frequently cited as a significant precedent. It demonstrates a court willing to adapt tort principles to the context of global supply chains, by treating the sale of a ship for scrap as part of the "supply chain" of shipbreaking.[211] Commentators have hailed *Begum* as introducing a form of "Global Value Chain liability", whereby ordinary business transactions (like selling a ship for dismantling) are not viewed as

[202] I., Hadjiyianni, & K., Pouikli, *The Regulatory Landscape*, p. 256.
[203] *Caparo Industries plc v Dickman* [1990] 2 AC 605 (HL).
[204] *Begum v Maran* (EWHC 1846 (QB)) para 13; *Begum v Maran* (n181) (EWCA Civ 326) (n181) para 31.
[205] Begum v Maran (EWCA Civ 326) (n 181) para 124.
[206] Begum v Maran (EWCA Civ 326) (n181) para 64.
[207] I., Hadjiyianni & K., Pouikli, *The Regulatory Landscape*, p. 256.
[208] C., Glinski, *The liability of shipowners*, p. 475.
[209] I., Hadjiyianni & K., Pouikli, *The Regulatory Landscape*, p. 256.
[210] G.V., Calster, '*Begum v Maran. A hopeful Court of Appeal finding on duty of care; however open issues on its engagement with Rome II's environmental heading*' (*GAVC Law*, 6 May 2021) https://gavclaw.com/tag/begum-v-maran/. (accessed 30 April 2025).
[211] *Begum v Maran* (EWCA Civ 326) (n181), paras 64–69.

arm's-length and consequent-free, but rather as decisions carrying legal responsibility for downstream human impacts.[212] This case showed that the law of negligence can evolve to pierce the contractual distance shipowners try to put between themselves and the end of the industry.[213] The duty of care was based in human safety, though the factual backdrop was exporting a hazardous waste to a country badly equipped to enforce safe practices. This implicates the Basel Convention's regime.[214] In effect, the shipowner's agent was held accountable in a scenario where international law (Basel) and national laws had failed to do so. It is in the view of the writer of this thesis that the use of tort law in this case suggests that even in the absent of a direct international liability framework, courts may fill in the gaps to hold companies accountable.

Another civil case, though with a contrasting outcome, is the *Blue Lady Saga* case in India. The vessel had Norway as its flag state, after a boiler explosion in 2003 it was towed to Germany for repairs. The vessel was estimated to contain approximately 1,200 tons of asbestos[215] and due to the high costs associated with the repairs the owner opted to move the vessel to Malaysia in 2005 under the pretext of further repairs.[216] The vessel changed ownership multiple times and was denied entry to serval states due to environmental concerns. Eventually, in 2006, the Blue Lady was beached at Alang India, which is one of the largest shipbreaking yards. Despite objections and legal challenges citing violations of the Basel Convention and Indias own environmental regulations, the Indian Supreme Court permitted the dismantling of the vessel in 2007.[217]

4.2.2 Comparative Analysis of Civil Liability

These cases highlight both the promise and limitations of tort-based enforcement. *The Blue Lady* highlighted the limitations of the Basel regime, especially the difficulty of preventing hazardous vessels from entering non-OECD countries. Although India in practice had accepted the Basel Ban Amendment, [218] enforcement gaps allowed the vessel to be dismantled without prior decontamination. In comparison, The *Begum v. Maran* demonstrates a more progressive judicial approach, using private-law duty of care to reinforce what is essentially the goal of Basel and the IMO guidelines[219]; preventing ham from unsafe shipbreaking. Together, these civil cases show both the potential and the variability in court driven outcomes. On

[212] Glinski, C., "*The liability of shipowners"*, 2022, pp. 474-476.
[213] G.V., Calster, '*Begum v Maran,* (n209).
[214] Ibid.
[215] F., Pelsy, *The Blue Lady Case and the International Issue of Ship Dismantling, Law* (LEAD Journal, 2008), p. 140.
[216] M., Galley, *Shipbreaking*, p. 137.
[217] F., Pelsy, *The Blue Lady*, p. 137.
[218] *Ibid.*
[219] IMO, *Guidelines on Ship Recycling*, Resolution A.962(23), adopted 5 December 2003, pp. 3; 5.

one hand, *Begum v. Maran* signals that people can face negligent liability. On the other hand, *Blue Lady* shows that without clear statuary mandates, courts might still allow environmentally harmful dismantling.[220]

While the Corporate Sustainability Due Diligence Directive and evolving case law reflect progress, significant gaps remain. Liability remains fragmented, and enforcement often depends on individual jurisdictions' willingness to act. Although recent legislative developments are growing bodies of national tort law are incrementally expanding the responsibility of corporate actors in the ship dismantling chain.[221]

4.3 Criminal Liability and Enforcement Challenges

4.3.1 EU Environmental Crime Directive and Gaps in Existing Criminal Frameworks

In addition to civil remedies, criminal law enforcement has increasingly been recognized as a crucial mechanism for enhancing compliance with environmental regulations. While criminal liability exists under the Basel Convention (art. 4(3)) and the EU Waste Shipment Regulation (art. 11). There have still been several EU-flagged vessels that have been reflagged and sent for unlawful dismantling.[222] In 2024, the EU adopted a revised the Environmental Crime Directive (Directive (EU) 2024/1203 (ECD)), and introduced significant reforms to address environmental crimes, including illegal ship recycling. Article 3(2)(h) criminalises the recycling of ships covered by EU Ship Recycling Regulation where such recycling violates Article 6(2)(a) EU SRR, namely when EU-flagged ships are dismantled outside EU-listed recycling facilities. Illegal ship recycling displays key characteristics typical of environmental crimes: it is transnational, involves organized operations and is often committed by corporate actors engaging in white-collar crime. Ship recycling practices frequently show three features typical of environmental offenses: 1) deregulation, where corporations benefit from weak environmental and labour protections in developing countries; 2) mobility, enabling rapid operations before authorities can intervene; 3) invisibility, where victims are often unaware of the harm or are far from the scene of violation.[223]

The revised directive expands criminal liability covers not just the shipowner but also cash buyers, managers and any intermediaries who assume operational responsibility for the ship before recycling. However, assigning liability in these complex, multinational transactions will likely present challenges, as has been seen in past enforcement actions under the Basel and

[220] C., Glinski, *The liability of shipowners*, pp. 474-476.
[221] *Ibid.*, p. 481.
[222] See Chapter 2.4.1.
[223] I., Hadjiyianni & K., Pouikli, *The Regulatory Landscape*, p. 260.

EU Waste Shipment Regulation regimes.[224] Another limitation in this area is also that reflagging to non-EU registries remains a loophole. Under UNCLOS Articles 91-92, reflagging is lawful, provided the flag state maintains a 'genuine link'. This because the Environmental Crime Directive provision focuses narrowly on violations of Article 6(2)(a) EU SRR, without addressing broader aspects of illegal ship recycling practices, such as reflagging. Instead, it criminalises the resulting illegal waste shipment.[225] Some shipowners have historically avoided the provisions of the EU Ship Recycling Regulation and the EU Waste Shipment Regulation by trading their ships to intermediaries out of Europe before dismantling them. Where sales have been deemed to breach the EU Waste Shipment Regulation, the vessels have been detained in Europe, but their owners haven't faced criminal prosecutions previously.[226] The Seatrade case[227] is the first successful criminal prosecution in the EU, finding shipowners guilty of illegal export of ships reflagged before scrapping. The Environmental Crime Directive strengthens jurisdictional reach. Article 12 mandates Member States to establish jurisdiction over offences committed by their nationals, on ships flying their flag, or by companies established under their law (art. 12(1)(d) ECD) This addresses concerns about jurisdictional evasion through reflagging, echoing points raised by Professor Hadjiyianni and Dr. Pouikli.[228]

In summary, while expanding the scope of the Environmental Crime Directive to include ship recycling offences is a major step forward, fully tackling practices like reflagging will require complementary revisions to the EU Ship Recycling Regulation itself. Without these changes, the criminal law reforms risk being undermined by the very behaviours they aim to deter. In this section there will be a discussion on holding shipowners criminally liable under waste export laws. Several recent cases in Europe illustrate the use of criminal law to enforce ship recycling rules. These prosecutions treat end-of-life vessels as "hazardous waste" under domestic implementations of the Basel Convention (in the EU, the EU Waste Shipment Regulation), making is a criminal offense to illegally ship such waste to developing countries.

4.3.1.1 2 Selected Case Law Analysis: Criminal Liability

The *Seatrade case* involves the Dutch company Seatrade which sent four vessels from the ports of Hamburg and Rotterdam for scrapping in Turkey, India and Bangladesh. This was under the period of 2012 and three of the vessels that were sent still had cargo in them.[229] In March 2018, the court

[224] Ibid.

[225] ECD Article 3(2)(g).

[226] A., Mikelis, '*Seatrade: A New Approach to Violations of Regulations on Ship Recycling in the European Union?*' (2018), https://www.nortonrosefulbright.com/nl-nl/knowledge/publications/f686f825/seatrade-a-new-approach-to-violations-of-regulations-on-ship-recycling-in-the-european-union (accessed 12 May 2025).

[227] District Court of Rotterdam 15 March 2018, ECLI:NL:RBROT:2018:2108 (*Seatrade*).

[228] I., Hadjiyianni &K., Pouikli, *The Regulatory Landscape*, p. 263.

[229] A., Mikelis, *Seatrade*, (n225).

found the Seatrade group and the guilty of violating Article 2(35) EU Waste Shipment Regulation for illegal export of ships for scrapping.[230] The Rotterdam court held that, from evidence, it was clear that, before the ships left Hamburg and Rotterdam, the intention was to have all four ships demolished and that they were therefore 'discarded' and could therefore be properly described as 'waste' within the meaning of the EU Waste Shipment Regulation. Noting the harmful consequences of scrapping ships (in Bangladesh and India particularly) to the environment and human health and safety, the court found that the directors of Seatrade had "closed their eyes" to the problem and only considered the business interests of the companies for which they were responsible. The Court imposed a 12-month suspension on each of the two directors, together with fines of EUR 750,000. The court also noted that the suspensions were given in lieu of prison sentences (which, it noted, were warranted on the facts) on the basis that this was the first case of its type to be heard by a criminal court.[231] However, this initial ruling was annulled by the Court of Appeal in The Hauge in 2020,[232] and the prosecutors reach a settlement of EUR 3.000.000 with the shipowners.[233]

Besides this, Norway has taken a pioneering role in criminalizing illegal ship exports. In 2016 Norway prosecuted the export of the *Eide Carrier* (later renamed Tide Carrier)[234] for being sold for scrap in Pakistan. The vessel changed names and flags multiple times and attempted to depart under a false repair pretext. Investigations revealed that the vessel had in fact been sold for dismantling and was under a "break-up voyage".[235] When the sales contract was examined it was dated from the summer 2015 and it was found that the contact person Julia Shipping Inc. was Keyur Dave, Chief Financial Officer at cash buyer Wirana. It then stood clear that the repair contract from the Middle East was a way to escape checks for illegal export of the vessel for breaking was false. The Vessel got taken under arrest and prohibited to leave Norway, unless it was to sail to a ship recycling destination in line with international and European hazardous waste laws.[236] In 2022 the Appeal Court in the Norwegian city of Bergen confirmed the prison sentence of

[230] District Court of Rotterdam (n226) (*Seatrade*), p. 27.

[231] *Ibid.*

[232] NGO Shipbreaking Platform, '*Press Release – Seatrade Reaches Settlement with Dutch Public Prosecution Service'* (30 April 2024) https://shipbreakingplatform.org/seatrade-reaches-settlement/ (accessed 12 May 2025).

[233] M., Buitendijk, "*Seatrade Settles in Shipbreaking Case*" (*SWZ Maritime*, 2024) <https://swzmaritime.nl/news/2024/05/08/seatrade-settles-in-shipbreaking-case/> (accessed 12 May 2025).

[234] *Eide Carrier (Norway)*, Supreme Court of Norway, HR-2017-2031-A, concerning transboundary movement of hazardous waste under the Basel Convention.

[235] NGO Shipbreaking Platform, "*Spotlight: Harrier Case"* https://shipbreakingplatform.org/spotlight-harrier-case/ (accessed 19 March 2025).

[236] *Ibid.*

Georg Eide for aiding and abetting the attempt to export the ship Eide Carrier to Pakistan for scrapping.[237]

Transboundary movements of hazardous wastes are strictly regulated by Norwegian, European and international laws. Enforcement authorities in multiple EU Member States are increasingly investigating the unlawful trade of toxic end-of-life vessels, as they are required to minimise the export of hazardous waste to non-OECD nations. In alignment with the principles outlined in the Basel Convention and EU Waste Shipment Regulation, the 'anticipates that more shipowners and intermediaries will be held responsible for the exploitation of vulnerable communities and environmental degradation occurring at shipbreaking yards in India, Pakistan, and Bangladesh. They also urge the shipping industry to implement thorough human rights due diligence when managing vessels at the end of their operational life.[238]

4.3.2 Comparative Analysis of Criminal Liability

Both the *Seatrade* and *Eide Carrier* demonstrates how national courts are beginning to use criminal law to tackle evasive ship recycling practices. The 2024 Environmental Crime Directive has broadened the legal tools available to Member States, particularly through; criminalization of EU Waste Shipment Regulation and Ship Recycling Regulation violations involving dismantling outside of EU-approved facilities and the expansion of jurisdiction under Article 12 Environmental Crime Directive. However, significant limitations remain such about jurisdictional evasion such as reflagging.[239]

To address these weaknesses, further legal alignment is necessary, particularly through amendments to the EU Ship Recycling Regulation and complementary enforcement under the Corporate Sustainability Due Diligence Directive. Without such integration, the deterrent effect of criminal law risks being undermined by jurisdictional fragmentation and corporate opacity.

These legal developments point toward a growing intolerance for strategic avoidance of environmental rules through reflagging, cash sales and the use of intermediaries.[240] Although international law (particularly the Basel Convention) continues to face enforcement challenges, national courts are stepping in to fill the gap by applying existing tort and criminal doctrines to

[237] *Ibid.*

[238] NGO Shipbreaking Platform, '*Press Release – Appeal Court Confirms Prison Sentence for Norwegian Ship Owner*' (23 March 2022) https://shipbreakingplatform.org/press-release-appeal-court-confirms-prison-for-norwegian-ship-owner/ (accessed 12 May 2025).

[239] I., Hadjiyianni, & K., Pouikli, 2024, p. 263.

[240] Compare; C., Glinski, *The liability of shipowners*, p. 481.

ship recycling.[241] The trend is clear. Courts in Europe are increasingly willing to pierce the corporate veil and hold actors liable when they knowingly facilitate or enable harmful recycling practices abroad. However, these cases remain an exception rather than the norm.[242] The absence of an integrated liability regime under the Hong Kong Convention or the EU Ship Recycling Regulation could mean that enforcement often depends on national willingness to act.[243] The path forward may lie in combining administrative, civil and criminal liability through EU mechanisms like the Environmental Crime Directive complemented by due diligence under the Corporate Sustainability Due Diligence Directive.[244]

Historically, some shipowners have circumvented the provisions of the EU Waste Shipment Regulation by, inter alia, transferring vessels out of European jurisdiction prior to scrapping. While breaches of the Regulation have at times led to the detention of ships within the Europe, criminal prosecutions of shipowners had, until recently, remained virtually absent. The decision rendered by the decision of the Rotterdam Court in March 2018 therefore represented a significant and unexpected development within the industry.[245] Although the criminal offences were ultimately settled rather than fully adjudicated, the case of the Eide Carrier nonetheless signals a protentional shift towards greater judicial willingness to enforce environmental obligation through national courts.

4.4 Summary and Analysis of Corporate Liability in Case Law

The case law examined in this chapter illustrates both the opportunities and limitations of holding corporate actors accountable under current frameworks.

The *Seatrade case* demonstrates that liability under EU waste shipment law is legally feasible when owners intentionally misrepresent a vessels' destination and status. However, the sanctions imposed were relatively mild compared to the scale of the environmental and human rights risks involved. This suggests that while formal liability mechanisms exist, their deterrent effect on corporate behaviour remains limited.

The *Begum case*, conserving claims against British shipowners for human rights violations during shipbreaking in Bangladesh, signals an emerging trend toward recognising transnational corporate responsibility in domestic courts. Although the proceedings faced jurisdictional challenges, the case

[241] C., Glinski, *The liability of shipowners*, pp. 274–476; I., Hadjiyianni & K., Pouikli, *The Regulatory Landscape*, p. 260.
[242] *C., Glinski, The liability of shipowners*, p. 481.
[243] *Ibid.,* p. 468-469.
[244] *Ibid.*, p. 481.
[245] A., Mikelis, *Seatrade*, (n225).

shoes that civil liability may increasingly serve as a tool to address corporate misconduct beyond national borders. However, these avenues remain uncertain and heavily dependent on national procedural rules, which complicates consistent enforcement.

The cases collectively highlight a fragmentation of enforcement pathways; Firstly, civil liability offers potential remedies, but faces procedural and evidentiary barriers, especially in transnational contexts and; Secondly, criminal liability under EU and international framework remains rare and heavily dependent on active prosecution by national authorities.

This patchwork of mechanisms implies that corporate actors can often avoid meaningful liability through jurisdictional strategies such as reflagging and using intermediaries. Accordingly, while existing frameworks provide some basis for corporate liability, they do not fully success in ensuring effective deterrence or comprehensive redress for harmful ship recycling practices. In relation to the research questions the case law analysis suggests that current international and EU legal instruments only partially achieve their goals of enforcing corporate liability in ship recycling. There is thus clear need for further strengthening of enforcement mechanisms, either through international harmonisation, stricter domestic laws or increased corporate due diligence obligations.

5 Analysis and Conclusions

This thesis set out to examine whether the current international and EU legal frameworks provide adequate tools to hold companies accountable in the ship recycling sector. Through the analysis of the international conventions, EU Regulation and relevant case law, the thesis explored the effectiveness of existing legal framework, with particular emphasis on enforcement mechanisms, regulatory gaps and corporate circumvention strategies.

1. Adequacy of the International and EU frameworks

The current legal framework such as the Basel Convention, the Hong Kong Convention, the EU Ship Recycling Regulation and the EU Waste Shipment Regulation provide important tools to hold companies accountable. They establish valuable principles, such as Prior Informed Consent and Environmentally Sound Management. However, their effectiveness in securing corporate liability remains limited. The fragmentation of jurisdiction, weak global enforcement and reliance on flag state jurisdiction contribute to persistent liability gaps. Corporate actors exploit these loopholes through reflagging, use of intermediaries (e.g. cash buyers) and evasive practices.

2. Effectiveness of EU Ship Recycling Regulation *and* EU Waste Shipment Regulation *within the EU*

The EU Ship Recycling Regulation introduces important obligations for EU-flagged vessels to be dismantled in approved facilities and incorporates transparency requirements such as ship recycling plans. However, the regulation's scope is undermined by the widespread use of flag of convenience, which enables shipowners to circumvent EU obligations. The EU Waste Shipment Regulation, while broader in scope, struggles with enforcement where vessels are exported under the guise of continued operation. The *Seatrade* case illustrates both the challenges and the potential of national courts to intervene in cases of unlawful ship recycling. It was the first case where the court ruled for a prison sentence. Although it ultimately resulted in a settlement, the case has generated considerable and academic discussion and arguably laid important groundwork for the subsequent *Eide Carrier* case. This case suggests that while EU law is normatively advanced, enforcement remains inconsistent across Member States.

3. Role of International Conventions in Fostering Corporate Responsibility

The Basel Convention's control mechanisms and the Hong Kong Convention's technical standards contribute to establish corporate behaviour. The Hong Kong Convention, despite its entry into force in 2025, places the responsibility primarily on states, rather than private actors. The absence of direct corporate obligations reduces the Convention's capacity to deter non-

compliant behaviour among shipowners and intermediaries. The *Eide Carrier* case, adjudicated under the Basel Convention in Norway, continues to demonstrate both the challenges and the possibilities of domestic legal enforcement in the context of ship recycling. While the successful prosecution of the shipowner marked a significant step towards corporate liability, such outcomes remain rare.

4. Legal and Practical Obstacles Enabling Corporate Circumvention

Legal and practical loopholes, such as reflagging, use of intermediaries such as cash buyer arrangements and fragmented corporate structures, allow companies to externalize risks and costs. Cases such as *Begum v. Maran, Seatrade* and *Eide Carrier* demonstrates that courts can hold corporate actors liable, even in complex transnational settings. This is particularly evident where there is political will and clear evidence in misconduct. While proceedings like *Seatrade* ultimately concluded without a criminal conviction, the legal scrutiny itself created reputational and strategic insensitive that can influence corporate behaviour and strengthen liability mechanisms. These cases are exceptions, but they might be considered to signal a trend; national tort and criminal law, when actively used, can provide a backstop where international rules are either too weak or too slow to respond.

This analysis indicates that while International and EU frameworks lay out a normative foundation for regulating ship recycling, they fall short of delivering consistent and enforceable liability. The lack of binding obligations on private actors, together with the difficulties in attributing responsibility in complex corporate structures, results in a fragmented enforcement landscape. Cases such as Seatrade and Begum v. Maran illustrate that national legal systems can intervene where international law is ineffective. These interventions are, however, limited in scope and application and do not substitute for systemic reform. Similarly, the Eide Carrier case stands as a rare example of criminal enforcement in Europe. These isolated cases signal an emerging legal consciousness but do not yet amount a robust liability framework. Recent legislative developments, including the Corporate Sustainability Due Diligence Directive and the revised Environmental Crime Directive, present new opportunities to address corporate misconduct. If effectively implemented, these instruments could enhance corporate transparency, supply chain responsibility and cross-boarder enforcement. Yet their impact on ship recycling remains speculative and dependant on national implementation and judicial interpretation.

While this thesis provides initial exploration of corporate liability mechanisms within the ship recycling industry, several limitations must be acknowledged. The thesis primarily relies on a legal dogmatic method and focuses on selected international and EU regulatory frameworks.

Consequently, it does not engage in empirical research, nor does it conduct a comprehensive comparative analysis across multiple jurisdictions. Furthermore, issues such as the internal corporate decision-making process and the complexity of global supply chains have only been addressed at a general level. These limitations suggest important areas for future research and future legal development.

Future research could examine the practical impact of the new EU Corporate Sustainability Due Diligence Directive and the EU Environmental Crime Directive on ship recycling practices. Particularly whether it leads to more consistent corporate liability across Member States. Comparative studies across different jurisdictions regarding corporate environmental liability would also offer valuable insights into the most effective enforcement models. Since this thesis barely touched the surface of the complexity of supply chains and their connection to liability, future studies could investigate how value is created, transferred and measured in ship recycling supply chains. Further exportation of interorganisational relationships and their influence on governance structures could shed light on how social and environmental values are incorporated, or marginalised, within corporate decision-making.

Finally, it would also be pertinent to study how new enforcement strategies, including the potential for piercing the corporate veil to hold parent companies liable for subsidiaries' actions, could strengthen corporate liability mechanisms in practise. The upcoming full ratification and implementation of the Hong Kong Convention, combined with the evolving EU legal framework, could also merit close monitoring regarding their actual impact on dismantling practices.

In conclusion, while important strides have been made in regulating ship recycling, effective corporate liability remains a significant challenge. Current frameworks provide a foundation but often fall short due to enforcement gaps, legal loopholes and strategic circumvention by corporate actors. The responsibility gap in ship recycling is not due to a complete absence of legal norms, but rather a difficulty to impose direct and enforceable obligations on those who control the economic and operational realities of vessel disposal. Strengthening corporate due diligence, improving transparency across ship ownership structures and enhancing port state controls could contribute to narrowing the gap.

Table of cases

Begum v Maran (UK) Ltd [2020] EWHC 1846 (Queen's Bench Division) (High Court, England & Wales)

Begum v Maran (UK) Ltd [2021] EWCA Civ 326 (Court of Appeal, England and Wales).

Blue Lady Case (India, 2006–2007), concerning transboundary movement of hazardous waste and shipbreaking under the Basel Convention.

Caparo Industries plc v Dickman [1990] 2 AC 605 (HL).

ECJ Poulsen and Diva Navigation *Case C-286/90*, Judgment of the Court of 24 November 1992, ECLI:EU:C:1992:453.

Eide Carrier (Norway), Gulating Court of Appeal, *Judgment of 22 March 2022*, LG-2021-73085.

Okpabi and others v Royal Dutch Shell Plc and another [2021] UKSC 3.

Seatrade (Case C-693/13), Judgment of the Court (Grand Chamber), 4 March 2015, EU:C:2015:123.

The M/V 'SAIGA' (No. 2), Saint Vincent and the Grenadines v. Guinea, Merits, Judgment, ITLOS Case No. 2, ICGJ 336, 1 July 1999.

Vedanta Resources PLC and another v Lungowe and others [2019] UKSC 20.

Table of Legislation

International conventions

Basel Convention on the control of Transboundary Movement of Hazardous Wastes and their disposal, adopted 22 March 1989, entered into force 5 May 1992,1673 UNTS 126.

Convention on the High Seas. Done at Geneva on 29 April 1958. Entered into force on 30 September 1962.

Hong Kong International Convention for the safe and environmentally sound recycling of ships (adopted 19 May 2009) SR/CONF/46.

United Nations Convention on the Law of the Sea, adopted 10 December 1982, entered into force 16 November 1994, 1833 UNTS 3.

Vienna Convention on the Law of Treaties 1969.

EU Legislation

Regulation (EC) No 1013/2006 of the European Parliament and of the Council of 14 June 2006 on shipments of waste, OJ L 190, 12.7.2006, (EU WSR).

Directive (EU) 2009/16/EC of the European Parliament and of the Council of 23 April 2009 on port State control, OJ L 131, 28.5.2009.

Regulation no 1257/2013 of the European Parliament and of the Council of 20 November 2013 on ship recycling [2013] OJ 2 330/2, (EU SRR).

Regulation (EU) 2024/1157 of the European Parliament and of the Council of 11 April 2024 on shipments of waste, amending Regulations (EU) No 1257/2013 and (EU) 2020/1056 and repealing Regulation (EC) No 1013/2006

Directive (EU) 2024/1203 of the European Parliament and of the Council of 11 April 2024 on the protection of the environment through criminal law and replacing Directives 2008/99/EC and 2009/123/EC

Directive (EU) 2024/1760 of the European Parliament and of the Council of 13 June 2024 on corporate sustainability due diligence and amending Directive (EU) 2019/1937, OJ L 202, 3.7.2024, (CSDDD).

IMO Resolutions

Resolution, A.962(23) Guidelines on Ship Recycling, Resolution, adopted 5 December 2003.

Resolution A.973(24) Code for the Implementation of Mandatory IMO Instruments, adopted 1 December 2005.

Resolution A.996(25), Code for the Implementation of Mandatory IMO Instruments, Adopted on 29 November 2007.

Bibliography

Books

Brynolf, S., Andersson, K., & Lindgren, J.F., *Shipping and the Environment: Improving Environmental Performance in Marine Transportation* (Springer Berlin Heidelberg, 2016).

Caddell, R., & Thomas, D.R., (eds.), *Shipping, law and the marine environment in the 21st century: emerging challenges for the law of the sea: legal implications and liabilities* (Lawtext Pub. Ltd., Witney, Oxford, 2013).

Coles, R.M.F., & Watt, E., *Ship registration: law and practice* (2nd ed., Informa, London, 2009).

Evans, M.D., (ed), *International law*, 4th edn (Oxford University Press, 2014).

Falkanger, T., Bull, H.J., & Brautaset, L., *Scandinavian maritime law: the Norwegian perspective* (4. ed., Universitetsforlaget, Oslo, 2017).

Galley, M. *Shipbreaking: Hazards and Liabilities* (Springer International Publishing, Cham, 2014).

Hadjiyianni I., & Pouikli, K., *The Regulatory Landscape of Ship Recycling: Justice, Environmental Principles, and the European Union as a Global Leader* (Edward Elgar Publishing, 2024).

Kleineman, J., '*Rättsdogmatisk metod'* in Nääv, M., & Zamboni, M., *Juridisk Metodlära* (Lund: Studentlitteratur, 2018).

Kraska, J., *Maritime power and the law of the sea: expeditionary operations in world politics* (Oxford University Press, Oxford, 2011).

Kravchenko, S., Chowdhurt T.M.R., and Houssain Bhuiyan, Md. J., *'Principles of International Environmental* Law' in S., Alam (ed.), *Routledge Handbook of International Environmental Law* (Routledge, 2012), p. 50.

Langlet, D., *Prior informed consent and hazardous trade: regulating trade in hazardous goods at the intersection of sovereignty, free trade and environmental protection* (Kluwer Law International, 2009).

Pozdnakova, A., *Ship Recycling Regulation under International and EU Law* (Marius No. 535, Scandinavian Institute of Maritime Law, University of Oslo, 2019).

Puthucherril, T. G., *From Shipbreaking to Sustainable Ship Recycling: Evolution of a Legal Regime* (Martinus Nijhoff Publishers, Leiden, 2010).

Psaraftis, H. N. (ed.), *Sustainable Shipping: A Cross-Disciplinary View* (Springer, Cham, 2019).

Serdy, A., '*Public International Law Aspects of Shipping Regulation'* in Baatz, Y. (ed.), *Maritime Law* (5th edn, Informa Law from Routledge, 2020).

Vechiu, T., '*Flag States - Port States – Classification Societies Safety Network*', in Musi, M., (red.), *Port, Maritime and Transport Law Between Legacies of the Past and Modernization* (Bonomo Editore 2018),

Warner, R., & Stuart, K., (ed.), *Routledge handbook of maritime regulation and enforcement* (Routledge, Taylor & Francis Group, Abingdon, 2016).

Yang, H., *Jurisdiction of the coastal state over foreign merchant ships in internal waters and the territorial sea* (Springer, Berlin, 2006).

Articles

Alcaide, J.I., Rodríguez-Díaz, E. & Piniella, F., '*European policies on ship recycling: A stakeholder survey*' (Marine Policy, 81, 2017).

Alam, S. & Faruque, A., '*Legal regulation of the shipbreaking industry in Bangladesh: The international regulatory framework and domestic implementation challenges'* (Marine Policy, 47, 2014).

Argüello Moncayo, J., '*International law on ship recycling and its interface with EU law'* (Marine Pollution Bulletin, vol. 109, no. 1, 2016).

Beckman, R., & Zhen, S., '*The Relationship between UNCLOS and IMO Instruments*' (Asia-Pacific Journal of Ocean Law and Policy, no. 2, 2017).

Bhattacharjee, S., '*From Basel to Hong Kong: International Environmental Regulation of Ship-Recycling Takes One Step Forward and Two Steps Back'* (Trade, Law and Development, vol.1 no. 2, 2009).

Galley, M., '*Flagging Interest: Ship Registration, Owner Anonymity, and Substandard Shipping'* (Mountbatten Journal of Legal Studies, 2013).

Glinski, C., '*Liability of shipowners and classification societies for environmental damage and unsafe working conditions at recycling yards'* (Review of European, Comparative & International Environmental Law, 31(3), 2022) https://doi.org/10.1111/reel.12455.

Glinski, C., '*The public-private governance regime on sustainable ship recycling: An in-depth analysis* (Review of European, Comparative &

International Environmental Law, 31(2), 2022) https://doi.org/10.1111/reel.12449.

Gourdon, K., '*Ship recycling: An overview*' (OECD Science, Technology and Industry Policy Papers, No. 68, OECD Publishing, Paris, 2019).

Hsuan, J., & Parisi, C., '*Mapping the Supply Chain of Ship Recycling*' (Marine Policy, 2023) https://doi.org/10.1016/j.marpol.2023.105604.

Matz-Lück, N., '*Safe and Sound Scrapping of Rusty Buckets: The 2009 Hong Kong Ship Recycling Convention*' (Review of European, Comparative & International Environmental Law, (Issue 1), 2010).

Mitroussi, K., & Arghyrou, M.G., '*Institutional performance and ship registration*' (Transportation Research Part E, vol. 85, 2016).

Moen, A. E., '*Breaking Basel: The elements of the Basel Convention and its application to toxic ships'*, Marine Policy, 32(6), pp. 1053–1062, 2008.

Pelsy, F., '*The Blue Lady Case and the International Issue of Ship Dismantling*', Law, Environment and Development Journal, vol. 4, no. 2, 2008.

Vogt, J., & R., Subasinghe, '*Protecting Workers' Rights in Global Supply Chains: Will the EU's Corporate Sustainability Due Diligence Directive Make a Meaningful Difference?'* (SSRN, 2024).

Online material:

European Commission, '*Ship Recycling*', https://ec.europa.eu/environment/waste/ships/index.htm.

European Commission, '*Video: How the EU is Tackling Illegal Waste Shipments*' (5 June 2024) https://environment.ec.europa.eu/news/video-how-eu-tackling-illegal-waste-shipments-2024-06-05_en.

European Commission, '*Waste Shipments*', https://environment.ec.europa.eu/topics/waste-and-recycling/waste-shipments_en.

IMO, '*Hong Kong Ship Recycling Convention Set to Enter into Force*', https://www.imo.org/en/MediaCentre/PressBriefings/pages/Hong-Kong-Convention-set-to-enter-into-force-.aspx.

IMO, '*Maritime Facts and Figures: SHIP RECYCLING*', https://imo.libguides.com/c.php?g=659460&p=4744890.

IMO, '*Recycling of Ships*', http://www.imo.org/en/OurWork/Environment/ShipRecycling/Pages/JointILOIMOBCWorkingGroupOnShipScrapping.aspx.

IMO, '*Ship Recycling*', https://www.imo.org/en/OurWork/Environment/Pages/Ship-Recycling.aspx.

International Chamber of Shipping, '*World Seaborne Trade*', http://www.ics-shipping.org/shipping-facts/shipping-andworld-trade/world-seaborne-trade.

Mikelis, A., '*Seatrade: A New Approach to Violations of Regulations on Ship Recycling in the European Union?*', (Norton Rose Fulbright, 2018) https://www.nortonrosefulbright.com/nl-nl/knowledge/publications/f686f825/seatrade-a-new-approach-to-violations-of-regulations-on-ship-recycling-in-the-european-union.

NGO Shipbreaking Platform, '*Cash Buyers*', https://shipbreakingplatform.org/our-work/the-problem/cash-buyers/.

NGO Shipbreaking Platform, '*Impact Report 2022–2023'*, https://shipbreakingplatform.org/wp-content/uploads/2025/02/ImpactReport2223.pdf.

NGO Shipbreaking Platform, '*Platform publishes list 2023*' https://shipbreakingplatform.org/platform-publishes-list-2023/.

NGO Shipbreaking Platform, '*Press Release – Appeal Court Confirms Prison Sentence for Norwegian Ship Owner*' (23 March 2022) https://shipbreakingplatform.org/press-release-appeal-court-confirms-prison-for-norwegian-ship-owner/.

NGO Shipbreaking Platform, '*Press Release – Seatrade Reaches Settlement with Dutch Public Prosecution Service*' (30 April 2024) https://shipbreakingplatform.org/seatrade-reaches-settlement/ (accessed 12 May 2025).

Paris MoU, '*About Us, Organisation*', https://www.parismou.org/about-us/organisation.

Sinemus, E., '*Convenient Shipbreaking: Shortcomings of Environmental Obligations for EU Ship Owners and Possible Solutions'* (NCLOS Blog, UiT The Arctic University of Norway, 12 March 2021), https://site.uit.no/nclos/2021/03/12/convenient-shipbreaking-shortcomings-of-environmental-obligations-for-eu-ship-owners-and-possible-solutions/.

UNCTAD, '*Review of Maritime Transport 2020'*, https://unctad.org/system/files/official-document/rmt2020_en.pdf.

Wessely, A., '*Shipbreaking judgment is timely reminder of shipping companies' liabilities* (*Cambridge Core Blog*, 21 September 2020), https://www.cambridge.org/core/blog/2020/09/21/shipbreaking-judgment-is-timely-reminder-of-shipping-companies-liabilities/.

Other Sources

European Commission, Commission Staff Working Document – Impact Assessment, Accompanying the Proposal for a Regulation of the European Parliament and of the Council on shipments of waste and amending Regulations (EU) No 1257/2013 and (EU) No 2020/1056, SWD(2021) 331 final, Brussels, 17 November 2021.

European Commission, '*Proposal for a Regulation of the European Parliament and of the Council on shipments of waste'*, COM(2021) 709 final, 17 November 2021.

Official Records of the General Assembly, Eleventh Session, Supplement No. 9, UN Doc A/3159.

Opinion of the European Economic and Social Committee (EESC) on '*Shipbreaking and the recycling society*', 2017/C 034/06.

UNCTAD, "*Review of Maritime Transport 2024"*, UN Doc. UNCTAD/RMT/2024 (2024), p. 67.